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OVERVIEW

Who We Are

We are a leader in advanced PCB products for AI and high-performance computing in terms of sales revenue in 2024 and the first half of 2025, specializing in research and development, manufacturing and sales of high-build-up HDIs and high-layer-count MLPCBs. Our technologies, product quality and robust production capabilities position us as a crucial supplier to leading global technology companies. According to Frost & Sullivan, we ranked first globally in terms of sales revenue in the PCB market in the field of AI and high-performance computing in the first half of 2025 and ranked seventh globally by the same metric in 2024 with a market share of 1.7%, with key applications covering AI accelerator cards, servers, AI servers, data center switches and UBB. As a leader in the PCB industry, we are able to manufacture high-layer-count MLPCBs with more than 100 layers. We are also one of the first companies globally to achieve mass production of 24-layer HDIs with a 6+12+6 build-up, as well as the technical capabilities for 28-layer HDIs with an 8+12+8 build-up, and 16-layer any-layer interconnect HDIs, demonstrating our capability to deliver ultracomplex, high-density PCBs widely used in cutting-edge AI and high-performance computing applications at scale, reinforcing our industry leadership. Our technologies support the evolving needs of fast-growing industries such as AI, EV and high-speed telecommunications equipment, contributing to the advancement of China’s high-end PCB manufacturing industry.

The proliferation of AI is driving advancements in AI-related hardware, creating structural growth opportunities for the PCB industry. As a key component supporting computing systems, PCB must meet increasingly stringent standards, including high frequency and speed, low signal loss and enhanced heat dissipation. The PCB content value per unit in AI servers is notably higher than that in traditional servers. As AI applications continue to expand, the demand for high-performance PCBs is expected to grow substantially. According to Frost & Sullivan, the global shipment volume of servers reached approximately 16.0 million in 2024, of which AI servers accounted for about 2.0 million, representing 12.8% of total shipments. The global shipment volume of server will reach 18.8 million by 2029, with AI server shipments projected to grow at a CAGR of over 20% to reach 5.4 million, increasing their share of total server shipments to 29.0%. Data centers are also experiencing strong growth momentum. Global capital expenditure on data centers reached US\$455 billion in 2024, with the majority directed toward AI-related infrastructure, fueling the demand for PCBs that support applications with high requirements on signal transmission speed and frequency.

Guided by our Chairman, Mr. Chen Tao, we have implemented our “three core strategies” focusing on smart manufacturing, green manufacturing, and excellence in technology, quality and service, alongside the “four pillars of innovation”, namely the innovation in mindset, technology, talent and capital investment. Accordingly, we were among the first PCB manufacturers in China to establish smart factories, adopt green manufacturing practices, and expand into emerging sectors. These initiatives increase production output, shorten delivery cycles, reduce energy consumption and lower the labor intensity, ultimately enhancing our overall competitiveness. As we continue to strengthen our core capabilities, we have seized the growth opportunities driven by the development of AI and EV, built a global delivery network to meet rising demand worldwide and rose to the top tier of advanced PCB manufacturers globally.

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Leadership	Blue-Chip Customers	Research & Development
No. 1 Global AI and high-performance computing PCB market share⁽¹⁾ No. 1 Global high-build-up HDI PCB market share⁽²⁾ No. 1 Global high-layer-count MLPCB with 14 layers and above market share⁽³⁾	Global leading AI computing infrastructure provider Global leading EV and clean energy provider Global large-scale cloud service providers	Mass production capability of 28-layer HDIs with an 8+12+8 build-up and R&D validation of 30-layer HDIs with a 10+10+10 build-up, empowering cutting-edge AI acceleration cards Mass production capability of 70+ layer MLPCBs and technical capability for 100+ layer MLPCBs, enabling next-generation AI servers
Smart Manufacturing	High-end PCB Capacity	Growth
One of the earliest in the industry to develop and scale automation and smart manufacturing systems Customer-focused flexible manufacturing, delivering industry-leading efficiency, precision and speed	600k square meters HDIs with a build-up of 6+N+6 and above⁽⁴⁾ 5.16m square meters High-layer-count MLPCBs with 14 layers and above⁽⁴⁾ One of the world’s largest production networks	FY2024 Revenue RMB10.7bn 2015-2024 CAGR 26.6% 9M2025 Revenue RMB14.1bn YoY Growth 83.4%

Notes:

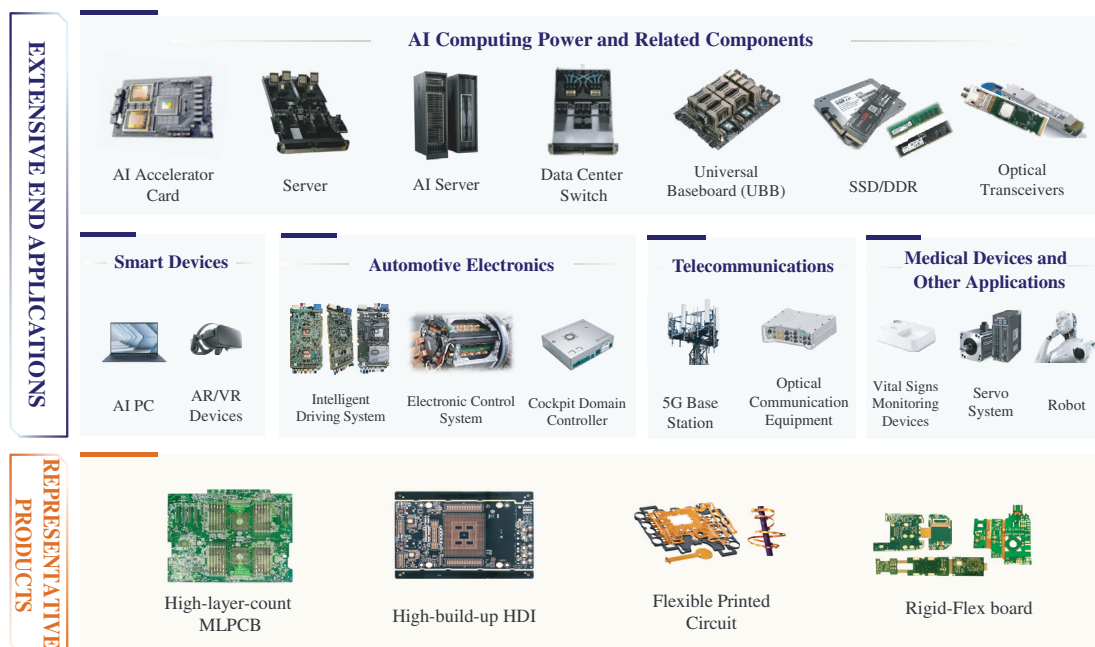
- (1) Measured by sales revenue in the PCB market in the field of AI and high-performance computing in the first half of 2025, according to Frost & Sullivan.
- (2) Measured by sales revenue from high-build-up HDI from the AI and high-performance computing in the first half of 2025, according to Frost & Sullivan.
- (3) Measured by sales revenue from high-layer-count MLPCBs with 14 layers and above in the first half of 2025, according to Frost & Sullivan. According to Frost & Sullivan, it is common for many industry participants to adopt a classification criterion where high-layer-count MLPCBs are categorized into “8 to 12 layers” and “14 layers and above” given that it is helpful to reflect the downstream applications of high-layer-count MLPCBs, though there is currently no definitive and universally accepted official standard to categorize high-layer-count MLPCBs based on the counts of layers given the stark differences in product applications and market positioning among the industry participants.
- (4) Measured by the annual production capacity of high-layer-count MLPCBs with 14 layers and above and advanced HDI products with a build-up of 6+N+6 or above up to the Latest Practicable Date.

Our Product Portfolio

We offer a comprehensive range of products used in a variety of applications. We have expanded our presence the following in key sectors including AI and high-performance computing, smart devices, automotive electronics, telecommunications and medical devices, with a focus on technologies supporting AI computing such as GPUs and CPUs: (i) *AI and High-performance Computing*: We have developed technologies for applying low-loss materials and optimizing signal integrity to support AI and high-performance computing. Our products center on high-build-up HDIs and high-layer-count MLPCBs supporting high-frequency and high-speed signal transmission. They are primarily used in AI accelerator cards, servers (including AI servers), data center switches and high-speed optical modules; (ii) *Smart Devices*: We focus on the key technological requirements of smart devices, including high integration, slim design and high-speed computing performance. Our products include HDIs and FPCs used in AI-powered PCs, wearables and AR/VR devices; (iii) *Automotive*

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Electronics: Our products are designed to meet the requirements of automotive-grade reliability, thermal resistance and signal integrity. Our products include HDIs, high-layer-count MLPCBs and FPCs, which are widely used in EV electrical systems, intelligent driving systems, vehicle body control modules and smart cockpits; (iv) *Telecommunications:* We focus on the application of materials that support high-frequency, high-speed transmission and technologies to ensure signal integrity. Our products include high-layer-count MLPCBs and high-build-up HDIs designed for use in 5G base stations, optical communication equipment and data center optical modules; and (v) *Medical Devices and Other Applications:* Our products include MLPCBs, HDIs and FPCs, which are primarily used in advanced medical devices, industrial automation control systems and core control modules of humanoid robots. Our PCB products for humanoid robots have entered production and sales.



Our Global Strategic Footprint

We are committed to strengthening our global presence by continuous domestic and international expansion. Through our network of production centers at home and abroad and strategic mergers and acquisitions, we have built a comprehensive operational network integrating advanced manufacturing, customer service and regional coordination.

Our domestic production hub is located at our headquarters in Huizhou, where we integrate R&D, design, advanced manufacturing and technical support. This production center supports the development and production of a wide range of products including high-layer-count MLPCBs, high-build-up HDIs and other innovative products, with a focus on high-performance PCBs used in AI computing hardware, such as AI accelerator cards, AI servers, high-speed switches and optical modules. We have also invested heavily in establishing multiple production lines in Thailand and Vietnam for the manufacturing of high-layer-count MLPCBs and high-build-up HDIs to meet the needs of our global customers and to increase our global delivery ability.

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Our strategic acquisitions have accelerated our advancement toward a leading position in global PCB market and enabled us to rapidly expand our overseas production capacity. In 2023, we acquired PSL, which owns MFSS, a globally recognized FPC manufacturer. The acquisition not only expanded our product portfolio to include a full range of both RPCBs (including MLPCBs and HDIs) and FPCs, but also broadened our customer base to companies in sectors such as automotive electronics (including automotive sensors and display modules), industrial control and high-end medical devices. Headquartered in Singapore, MFSS has established production lines and stable supply chains in Malaysia and Changsha and Yiyang in Hunan Province, China, which enhanced our ability to serve global customers with advanced FPC products. In 2024, we acquired APCB in Thailand, expanding our PCB production capacity in Southeast Asia with its established production lines, business, and experienced teams. We also introduced HDI production capabilities to its production centers, allowing us to better meet the needs of our overseas customers and strengthen our global delivery network.

Our Financial Performance

Our revenue and net profit have grown significantly since 2023. In 2022, 2023, 2024 and for the nine months ended September 30, 2025, our revenue was RMB7,885.2 million, RMB7,931.2 million, RMB10,731.5 million and RMB14,117.3 million, respectively. Our net profit for the same period was RMB790.6 million, RMB671.3 million, RMB1,154.4 million and RMB3,244.8 million, respectively.

Our Growth Opportunities

The global PCB market is experiencing structural growth. The transformation of sectors such as AI and high-performance computing, smart devices, automotive electronics and telecommunications has significantly increased the demand for high-performance PCB products, including high-layer-count MLPCBs and HDIs. This shift is generating substantial value growth across the industry.

AI and High-performance Computing

The growing demand for AI computing power, along with ongoing upgrades to data center servers and switches, is driving the growth in demand for high-layer-count MLPCBs and high-build-up HDIs. According to Frost & Sullivan, the global PCB market for AI and high-performance computing was US\$6.0 billion in 2024 and is projected to grow at a CAGR of 20.1% to reach US\$15.0 billion by 2029. Within this market, the high-layer-count MLPCBs (with 14 layers and above) segment size was US\$1.5 billion in 2024 and is projected to grow at a CAGR of 21.8% to reach US\$4.1 billion by 2029; the high-build-up HDI segment size was US\$1.3 billion in 2024 and is projected to grow at a CAGR of 20.3% to reach US\$3.2 billion by 2029.

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PCBs for AI computing typically have long design cycles and complex designs, which require manufacturers to have extensive technical expertise. We have built a distinct competitive edge in this field, supported by state-of-the-art equipment, advanced production technologies, high-performance products and a track record of reliable large-scale delivery. We believe these strengths will allow us to further expand our share in this rapidly growing market.

Smart Devices

The evolving technical demands of next-generation smart devices underpin the growing market demand for PCBs that achieve miniaturization, lightweight design, and high performance. According to Frost & Sullivan, the global PCB market for smart devices was US\$16.1 billion in 2024 and is projected to grow at a CAGR of 5.4% to reach US\$20.9 billion by 2029. Within this market, the high-layer-count MLPCBs (with 14 layers and above) segment size was US\$1.7 billion in 2024 and is projected to grow at a CAGR of 5.0% to reach US\$2.1 billion by 2029; the high-build-up HDI segment size was approximately US\$2.9 billion in 2024 and is projected to grow at a CAGR of 5.8% to reach US\$3.9 billion by 2029.

Our HDIs are designed to meet the high-density integration requirements of smart devices, while our FPCs support innovative features such as foldable screens and AR micro-modules. We believe our strategic foothold in the PCB market for smart devices positions us well to capture long-term growth opportunities in this market.

Automotive Electronics

The proliferation of automotive electronics and intelligent driving systems, particularly those used on EVs, is boosting the demand for high-performance PCBs. According to Frost & Sullivan, the global automotive electronics PCB market was US\$9.4 billion in 2024 and is projected to grow at a CAGR of 3.4% to reach US\$11.1 billion by 2029. Within this market, the high-layer-count MLPCBs (with 14 layers and above) segment size was US\$0.8 billion in 2024 and is projected to grow at a CAGR of 8.1% to reach US\$1.2 billion by 2029; the high-build-up HDI segment size was US\$0.6 billion in 2024 and is projected to grow at a CAGR of 8.6% to reach US\$0.9 billion by 2029.

Our automotive-grade PCB manufacturing process delivers products that meet the stringent heat resistance and reliability standards required for EVs. Our FPCs, with advantages in lightweight design, integration and reliability, are widely used in BMS, cockpit display drivers and vehicle body sensor systems. Our comprehensive automotive PCB portfolio and advanced technological capabilities give us a strong edge to expand our share in this rapidly expanding market.

Telecommunications

The increased use of advanced materials and complex multilayer structures in telecommunications equipment for 5G and optical communication is driving PCBs toward greater compactness and higher circuit density. According to Frost & Sullivan, the global telecommunications PCB market was US\$9.5 billion in 2024 and is projected to grow at a CAGR of 4.4% to reach US\$11.8 billion by 2029. Within this market, the high-layer-count MLPCBs (14 layers and above) segment size was US\$1.1 billion in 2024 and is projected to grow at a CAGR of 9.6% to reach US\$1.7 billion by 2029; the high-build-up segment size was US\$0.7 billion in 2024 and is projected to grow at a CAGR of 8.1% to reach US\$1.0 billion by 2029.

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We are able to manufacture high-layer-count MLPCBs with more than 70 layers and 28-layer HDI with an 8+12+8 build-up, supporting next-generation communication protocols, such as PCIe 6.0 and 1.6T optical transceiver. These capabilities allow us to fulfill the high-speed, high-frequency transmission requirements of advanced communication equipment. With our leading high-speed interconnect PCB technology, we are poised to reinforce our position in the telecommunications market.

OUR COMPETITIVE STRENGTHS

Strategy Foresight: Fast and Sustainable Growth Powered by Three Core Strategies and Four Pillars of Innovation

We are a leader in advanced PCB products for AI and high-performance computing in terms of sales revenue in 2024 and the first half of 2025. According to Frost & Sullivan, we ranked first globally in sales revenue for AI and high-performance computing PCBs, high-build-up HDIs and high-layer-count MLPCBs with 14 layers or more, based on our revenue in the first half of 2025.

Our management team has demonstrated a clear strategic vision and a strong grasp of evolving industry trends. Accordingly, we have built a forward-looking business guided by our “three core strategies”, namely smart manufacturing, green manufacturing, and excellence in technology, quality and service, as well as “four pillars of innovation”, namely the innovation in mindset, technology, talent and capital investment. These strategic strengths have supported our rapid growth, enabling us to achieve a CAGR of over 25% since our listing on the ChiNext Board of the Shenzhen Stock Exchange in 2015, with our revenue exceeding RMB10 billion in 2024. In recent years, we have focused on critical areas of AI computing, such as GPUs and CPUs, launching R&D initiatives two to three years ahead of market demand. We prioritize breakthroughs in high-growth sectors such as AI computing, AI servers, intelligent driving systems and humanoid robots, while actively advancing the application of next-generation materials and technologies to maintain our technological leadership and strengthen our core competitiveness.

Leading Technologies: Technological Edge Driven by Strategic Foresight and R&D

As a technology leader in the PCB industry, we are committed to technology-driven marketing and producing high-quality products. Our innovation system encompasses technology R&D, process optimization and mass production, and we have been focusing on the core technology roadmap of PCBs that support AI computing, particularly GPUs and CPUs. Through early-stage planning and targeted R&D in process technology, manufacturing techniques and advanced materials, we have achieved a series of notable breakthroughs: (i) *High-build-up HDIs*: We were one of the first companies in the world to commercialize 24-layer HDIs with a 6+12+6 build-up and have initiated R&D validation for 30-layer HDIs with a 10+10+10 build-up with the line width/spacing of 40/40 μm . We progressed from mass production of HDIs with a 6+N+6 build-up to R&D validation of a 10+N+10 build-up in only 18 months, which is faster than the industry’s typical iteration cycle of 24 to 36 months, according to Frost & Sullivan. Our 28-layer HDIs with an 8+12+8 build-up provides two to three times the wiring density of traditional PCBs, supporting ultra-high-density interconnection, high-speed signal transmission and high integration for cutting-edge AI chips. We are actively advancing R&D for 30-layer HDIs with a build-up of 10+10+10, pushing the limits of line width, via size, and high-precision back drilling; (ii) *High-layer-count MLPCBs*: We have mass production capabilities for high-layer-count MLPCBs with more than 70 layers

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and have technical capabilities for MLPCBs with more than 100 layers primarily used in AI servers and high-end switches. Our 10.0-mm thick-board technology achieves an aspect ratio of 40:1 and can accommodate ultra-large chip packaging. We are also developing 14.5 mm ultra-thick boards. Our high-precision back drilling technology has reached an accuracy of 4 ± 2 mil in mass production, significantly reducing signal loss. In addition, we are actively developing 0-stub processes to meet the requirements of next-generation ultra-high-speed signal transmission; (iii) *FPCs*: We specialize in miniaturized FPCs and are capable of manufacturing products with widths under 2mm and fine trace dimensions of 50 μ m/50 μ m. MFSS initiated and is capable of producing 2-meter-long FPC with roll-to-roll processes for medical catheter applications; and (iv) *Materials Supporting High-frequency, High-speed Transmission*: We have completed the electrical and thermal validation for the use of M7- and M8-grade materials in our products, and we are working toward the certification toward certification of M9-grade materials. These advanced materials deliver significantly improved dielectric properties and lower signal loss. They support ultra-high-speed transmission of up to 224 Gbps, satisfying the performance requirements of next-generation AI servers and switches.

Our core patented technologies focus on the most advanced areas of the PCB industry, with strong technical barriers in product design, key production processes and quality control for high-layer-count MLPCBs, HDIs and FPCs. As of September 30, 2025, we held 372 registered patents, including 181 invention patents, in China and overseas. We have received the *China Excellent Patent Award* for four consecutive years.

Recognized Quality: Ensuring Excellence Through End-to-End Control and Process Innovation

Our comprehensive and sophisticated quality management system covers the entire production process, including product design, raw material procurement, precision manufacturing control and final inspection. We have obtained certifications in process, safety and compliance standards from various international organization, including ISO9001, QC080000, IATF16949, UL2799 and ISO27001, supporting compliant manufacturing in high-end sectors such as AI, automotive, telecommunications and medical devices. Our laboratories are designed to meet RLI standards and are accredited under the CNAS national certification scheme. This provides a strong foundation for product quality, offering outstanding accuracy, reliability and credibility in testing.

At the same time, we continue to improve our production processes and implement strict end-to-end quality control. To address bottlenecks in key manufacturing stages, we have focused on advancing our blind via capabilities for high-build-up HDIs, improving copper debris suppression techniques and reducing conductive residue content. We have introduced wet-process systems in the plating stage to further stabilize process performance. Additionally, we have invested in advanced equipment, such as PLB flash plating systems and insoluble anode technology for critical process steps, significantly improving the uniformity and consistency of copper thickness.

We are also committed to developing an AI-driven smart manufacturing system to enhance automation and inspection capabilities. We have deployed AI-powered detection systems across key stages of PCB production, working in tandem with high-precision sensors to monitor critical parameters in real time. This enables automated decision-making during production, real-time defect detection and statistical analysis, significantly reducing false positives and advancing our goal of zero-defect manufacturing.

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Through continuous process innovation and technical upgrades, we are able to achieve higher yield rates for our high-end products than industry averages. Our exceptional product reliability allows us to consistently meet the stringent technical and quality standards of leading global technology customers, thereby reinforcing our strong competitive advantage in product quality.

Production Capacity and Planning: Adaptable and Scalable Production Capabilities with Global Reach

AI computing PCBs are significantly more complex and the processing requirements for which are higher than traditional PCBs. There are strict requirements on material performance, processing precision and interlayer alignment. These elevated technical standards have raised the bar for equipment performance, rendering conventional equipment inadequate for the quality and precision requirements of AI computing PCBs. To address these challenges, we have equipped our production lines with a full suite of advanced systems tailored for AI computing PCB manufacturing. Our smart manufacturing lines offer advanced process capabilities and scale advantages. We have maintained a strong lead in AI computing PCB manufacturing by deploying advanced equipment and cultivating long-term relationships with leading global equipment suppliers, which amplifies our production capabilities and reinforces our competitive strength in manufacturing and production capacity.

We operate five major R&D and production centers in China and overseas, giving us a competitive edge in global delivery and service capabilities. Our production centers in China are located in Guangdong and Hunan provinces. Each center specializes in specific product categories and is supported by a centralized production system. This structure allows for both flexible production scheduling and rapid response to customer orders, resulting in high operational efficiency and strong coordination across the centers. As our collaborations with leading global technology companies continue to expand, we are accelerating the construction of overseas production centers in Southeast Asia, including Thailand and Vietnam. This strategic initiative aims to build a more agile delivery and support network for our global customers, focusing on meeting the overseas delivery demands for our top customers.

Our forward-looking investments in advanced manufacturing equipment and capacity planning have given us a significant production advantage for our high-end products. Our five major production centers have an annual production capacity including 600,000 square meters for HDIs with a build-up of 6+N+6 or above and 5,160,000 square meters for high-layer-count MLPCBs with more than 14 layers up to the Latest Practicable Date. This makes us one of the world’s largest production networks for high-build-up HDIs and high-layer-count MLPCBs, according to Frost & Sullivan. As a result, we are well positioned to carry out large-scale mass production across a diverse product range, supported by our strong technical reserves and capacity planning, laying a strong foundation for deeper collaborations with our customers.

Strategic Customer Base: Strategic Long-Term Collaboration with Global Tech Leaders

We have established a brand reputation that is widely recognized for our specialized production technology, high-performance products and proven delivery capabilities. We have built long-term, stable relationships with major established players in multiple industries, including global AI technology solution providers, large cloud service providers, data center equipment OEMs, server manufacturers, top-tier EV companies, automotive electronics suppliers, prominent smart device brands and major medical device manufacturers.

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In particular, we are a key supplier to a leading AI computing infrastructure company, Customer E. Our products are extensively used for its AI accelerator cards, AI servers and high-end graphics cards. We also collaborate closely with leading EV and clean energy companies in in-vehicle HDIs and MLPCBs, supplying products for BMS, MCU and intelligent driving modules. We also have long-standing collaborations with top smart device brands and produce customized ultra-thin HDI and FPC products designed to meet the requirements of smart devices, including high integration, compact size, and strong computing performance.

Drawing on our extensive knowledge of AI computing, we collaborate with our customers to develop customized, high-performance PCB products. These efforts ensure stable, efficient and high-quality delivery, enabling our customers to build reliable, high-performance AI computing products, which enhances product performance and strengthens our market competitiveness, fostering long-term relationships with our customers.

Smart Factory: AI-powered Smart Factory and Advanced Manufacturing Processes

We were among the first in China to build a next-generation smart factory powered by IIoT, and among the earliest in the PCB industry to develop and scale automation and smart manufacturing systems. Compared to traditional production facilities, our smart factory shortens lead time by three to five days, reduces manpower needs by approximately 50% and increases production capacity by approximately 40%.

Our smart manufacturing system is built around end-to-end automation, full-process traceability, and AI-assisted decision-making, all tailored to the specific needs of our products and production processes. Key features include (i) the seamless integration of diverse manufacturing equipment, which enables automated data collection, real-time monitoring, and intelligent fault detection for full visibility; (ii) process optimization through a digital operations system for real-time process visibility and an automated material control system to ensure seamless material flow; (iii) smart scheduling, where an automated system allocates production capacity and provides real-time tracking; (iv) comprehensive risk control via real-time quality monitoring and a smart warehousing system that ensures precise inventory tracking and minimizes handling errors; and (v) quality enhancement by using AI-integrated inspection systems to automate the quality control process, significantly reducing the need for manual oversight. Such customer-oriented smart manufacturing system integrates flexible, automated production lines, data-driven decision-making, and intelligent warehousing, enabling real-time response to order fluctuations and customization needs while ensuring timely global delivery.

Management and Culture: Visionary Founder and Experienced Management Team

Our founder and Chairman, Mr. Chen Tao, is widely recognized as an expert and leader in the PCB industry. With his strong technical expertise, sharp industry insight, and decisive strategic leadership, Mr. Chen guided us to grow on the tide of the PCB industry’s shift to the Asia-Pacific region, while consistently staying ahead of the evolving needs of customers. Under his leadership, we were among the first Chinese PCB manufacturers to establish one of the first smart PCB factories in 2015, with a strategic focus on high-growth sectors such as servers and automotive electronics. In 2017, Mr. Chen set our strategic roadmap around key PCB technologies to support AI computing, including those related to GPUs and CPUs. This vision has driven breakthrough developments in advanced HDIs technologies and laid a strong foundation for our leadership in AI computing. Since 2022, Mr. Chen has led us to achieve

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several notable milestones, including achieving the mass production capability of high-layer-count MLPCBs with 70 layers and the successful development of 28-layer HDIs with an 8+12+8 build-up. He led our internationalization strategy by accelerating global expansion, deepening collaboration with leading global customers and reinforcing our competitive position across the industry value chain.

Under Mr. Chen’s leadership, we have built a senior management team with strong technical expertise, extensive industry experience, and a global perspective. The team includes more than 50 technical and management professionals from around the world. Our Vice President and Chief Technology Officer, Mr. Victor J. Taveras, has held senior positions at several leading global PCB companies and is widely recognized as an expert in high-frequency, high-speed materials and high-layer-count MLPCBs manufacturing. Under his leadership, we have achieved breakthroughs in core next-generation technologies, including 30-layer HDIs with a 10+10+10 build-up.

We prioritize talent development and have built a system to attract and cultivate technical and managerial talent worldwide, with a focus on areas such as AI computing and new energy vehicles. As part of our global expansion, we have strengthened synergy with MFSS and APCB and aligned our technical standards and management approaches. We promote a results-driven culture and operate a performance- and data-driven management system to support sustainable growth. With the strategic leadership of our Chairman and the strong technical support of our R&D team led by our Chief Technology Officer, we believe we are well-positioned to remain at the forefront of industry developments, achieve our strategic goals, and execute effectively to create sustainable, long-term shareholder value.

OUR GROWTH STRATEGIES

As we accelerate our business growth, we remain committed to our three core strategies and four pillars of innovation. As AI is expected to transform industries and unlock transformative applications across different sectors, we are committed to embracing the AI era by seizing emerging opportunities, driving technological innovation and reinforcing our leadership in the PCB sector. Therefore, we intend to pursue the following strategic initiatives:

Strengthening Market Leadership in AI and High-performance Computing PCB

As we embrace the AI era, we are committed to driving innovation and reinforcing our leadership in PCBs for AI applications. To achieve this, we plan to (i) sustain our leadership in AI applications by upgrading our core products for better performance and investing in advanced R&D for complex products, such as high-layer-count MLPCBs and high-density interconnects, leveraging our first-mover advantages in smart manufacturing and mass production of ultra-complex boards; (ii) deepen collaboration with leading global technology companies on product development, stay ahead of market trends and enhance customer relationships; (iii) continue prioritizing innovation with increased R&D investment focused on advanced products; and (iv) expand our production capacity in China and Southeast Asia by investing in advanced equipment to improve our global delivery capabilities, strengthen supply chain resilience, and capture more high-end market opportunities.

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Expanding Our Product Portfolio and Targeting Emerging Sectors

We are committed to expanding our portfolio of high-value PCB products and developing products for emerging sectors. To achieve this, we plan to (i) develop a more comprehensive lineup of high-value, differentiated PCB products, such as those utilizing mSAP processes and ultra-high-layer-counts for AI computing; (ii) strategically enter emerging sectors by collaborating with customers on next-generation technologies for humanoid robots, advanced intelligent driving, and low-altitude economy applications to secure first-mover advantages; and (iii) build a more diversified and high-value customer base by leveraging existing relationships to increase our market share across new industries and use cases.

Advancing Our Global Management Model

We plan to strengthen our global operations by leveraging the capabilities of our headquarters to support production centers worldwide, enhance management coordination and establish a global management structure that improves operational efficiency and customer service across our production and service network. To achieve this, we intend to (i) improve our global management structure by centralizing operations at our Huizhou headquarters to enhance data-driven decision-making and coordination; (ii) integrate AI across the entire production and service chain to optimize resource allocation and improve operational responsiveness; (iii) enhance our global production capacity and supply chain resilience by upgrading overseas production centers to smart manufacturing models, improving delivery and localized services; and (iv) standardize our global customer service with unified processes to ensure consistent, high-quality support and increase customer satisfaction.

Continue Promoting Employee Well-Being through People First Philosophy and Team Integration

We remain steadfast in our commitment to a people-centered management philosophy, continuously improving our infrastructure and benefits to enhance employee happiness and foster a sense of belonging. Our goal is to create a development framework where we grow and prosper together with our employees. To achieve this, we focus on several key initiatives: (i) creating premium work and living spaces by providing exceptional offices, apartment-style dormitories, and sports facilities to foster a comfortable and healthy lifestyle; (ii) offering comprehensive living support to meet our employees’ diverse needs; (iii) planning for long-term development by expanding our recruitment, training, and recreational facilities to support team growth; and (iv) promoting cultural integration across our global workforce to strengthen collaboration and team cohesion.

OUR EVOLUTION

We began researching, developing and manufacturing PCBs approximately 20 years ago. With a solid commitment to R&D, we have developed advanced production techniques and established ourselves early on as a reliable supplier of PCB solutions for smart devices, automotive electronics, telecommunications and medical devices for major domestic and international brands. Building on this strong foundation, we have pursued a strategic roadmap centered on advancing AI and high-performance computing since 2017, studying the evolution of GPUs and CPUs and implementing strategic initiatives to capture opportunities in emerging applications such as AI, intelligent driving and next-generation telecommunications and

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servers. These efforts have come to fruition, delivering substantial revenue growth in high-performance MLPCBs and HDIs since late 2024. Our expertise in high-layer-count MLPCBs and high build-up HDIs has made us a supplier to major technology companies worldwide.

The rise of AI and high-performance computing in recent years has created a substantial demand for PCBs supporting high-speed, low-latency data transmission. In response, we have developed specialized high-density, high-frequency PCBs tailored for AI servers, data center switches and optical transceiver to meet these needs. At the same time, we have continued to offer a broad range of products for the smart devices, automotive electronics and telecommunication sectors, collaborating with leading customers globally to supply PCBs tailored to their needs. Our technology has helped address the complex challenges of high-demand applications advancements in AI, intelligent driving and next-generation communication technologies.

In 2023, we expanded further by acquiring PSL, which owns MFSS, a Singapore-based PCB manufacturer, strengthening our capabilities in FPCs and positioning us to better serve high-growth sectors such as automotive electronics, industrial controls and medical devices. In 2024, we acquired APCB, whose manufacturing facility in Thailand further expands our production capacity we acquired APCB in Thailand, expanding our PCB production capacity in Southeast Asia with its established production lines, business, and experienced teams in Southeast Asia. Together with our facilities in mainland China, we now operate a global manufacturing network designed to meet a broad range of customer delivery needs.

OUR PRODUCTS

We offer a comprehensive range of PCB products, focusing on customized solutions to deliver end-to-end products and high value-added services to our customers. We offer single- and double-layer PCBs, MLPCBs and HDIs, as well as various types of FPCs, such as Rigid-Flexes. With the rapid development of AI, we have continued to invest in and achieve breakthroughs related to AI and high-performance computing and AI servers. Our products are increasingly used in AI accelerator cards, servers and advanced computing infrastructure, which have stringent requirements for transmission speed, signal integrity, thermal performance and reliability.

Application Areas	Application Scenarios	Core Products	Key Features
AI and High-Performance Computing	Primarily used in AI servers, graphics cards, intelligent computing centers, AI accelerator cards, supercomputing centers, AI cloud platforms and switches	(i) MLPCBs with 18 to 50 layers (ii) HDIs with a build-up from 4+N+4 to 8+N+8 and 20 to 30 layers	(i) MLPCBs with board thickness of 2.5-10.0 mm and maximum aspect ratio of 40:1 (ii) HDIs with board thickness of up to 4.5 mm

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Application Areas	Application Scenarios	Core Products	Key Features
Smart Devices	Primarily used in AI computers and tablets, household appliances, audio-visual and gaming devices, smart home equipment, wearables and AR/VR devices	(i) Any-layer HDIs (ii) FPC	A minimum laser via diameter of 75 μm , pad size of D+100 μm , aspect ratio of 0.8:1, line width and spacing of 40/40 μm , optical alignment accuracy of $\pm 50 \mu\text{m}$, and a Cpk greater than 1.33.
Automotive Electronics	Primarily used in main control units, inverters, battery management systems and power converters, with broad applications in intelligent driving, EVs, and battery, motor, and electric control.	(i) HDIs with a build-up from 1+N+1 to 4+N+4 and 6 to 20 layers (ii) FPC: Rigid-Flex with 4 to 6 layers (iii) MLPCB	(i) Meeting automotive camera BGA flatness requirement of $\leq 50 \mu\text{m}$ (ii) Designed to deliver high reliability, enhanced heat dissipation, high voltage resistance and durability in harsh environments
Telecommunications	Primarily used in macro-, micro- and pico-base stations and millimeter-wave antennas in enterprise, household, commercial, and outdoor telecommunication	(i) MLPCBs with 4 to 24 layers (ii) HDIs with a build-up from 1+N+1 to 3+N+3 and 12 to 20 layers	(i) MLPCBs using embedded copper block technology, with board thickness of 2.0-4.0 mm and patterning accuracy of $\pm 30 \mu\text{m}$ (ii) HDIs with any-layer HDI technology applied in millimeter-wave antennas
Medical Devices and Other Applications	Primarily used in continuous glucose monitors, industrial sensors, LED displays, lighting, direct-view displays, with broad applications in industrial automation, intelligent manufacturing, video conference solutions, dynamic display screens and cinemas	(i) HDIs with a build-up from 1+N+1 to 3+N+3 (ii) MLPCBs with 4 to 12 layers (iii) FPC: Rigid-Flex with 4 to 6 layers	(i) The MLPCBs maintain board warpage below 0.5%, along with strict control over ink color consistency across production batches. (ii) Designed to meet rigorous requirements for technical precision, product stability, durability and safety

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As a result of our continuous efforts in the field of high-layer-count MLPCBs and high build-up HDIs, our PCBs for AI and high-performance computing have become our largest source of revenue in the nine months ended September 30, 2025. The following table sets forth our revenue breakdown by the applications of our PCB products for the periods indicated.

Application	Year Ended December 31,						Nine Months Ended September 30,			
	2022		2023		2024		2024		2025	
	RMB	%	RMB	%	RMB	%	RMB	%	RMB	%
	(in RMB thousands, except for percentages)						(unaudited)			
AI and High-Performance										
Computing	463,799	5.9	461,104	5.8	706,522	6.6	425,580	5.5	5,865,051	41.5
Smart Devices	3,785,490	48.0	3,761,890	47.4	3,632,648	33.9	2,618,604	34.0	2,705,853	19.2
Automotive Electronics	769,456	9.8	848,314	10.8	2,199,366	20.5	1,595,488	20.7	1,854,315	13.1
Telecommunications	1,442,696	18.3	1,106,202	13.9	1,550,297	14.4	1,070,149	13.9	1,768,032	12.5
Medical Devices and										
Other Applications ⁽¹⁾	1,029,925	13.1	1,281,071	16.2	1,961,929	18.3	1,492,115	19.5	1,195,078	8.5
Total PCB products⁽²⁾	7,491,366	95.0	7,458,581	94.1	10,050,762	93.7	7,201,936	93.6	13,388,329	94.8

Notes:

- (1) Other applications primarily include products used in power and battery systems, industrial control, avionics, smart security, LCDs, LEDs, memory modules, SSDs and related applications.
- (2) In addition to generating revenue from the sale of PCB products, we also generated revenues from the sales of scrap materials, primarily copper-bearing etching solutions, which accounted for the majority of our other revenue. Others represented 5.0%, 5.9%, 6.3% and 5.2% of our revenue in 2022, 2023, 2024 and the nine months ended September 30, 2025, respectively. The revenue of other products was primarily derived from sales to customers in mainland China (excluding special supervision territory).

Our Product Portfolio

For our revenue breakdown by PCB product category, changes in our sales volume and average selling price (“ASP”) and reasons related to their fluctuation, see “Financial Information — Principal Components of Results of Operations”.

Single- and Double-layer PCB

Single-layer PCB is the simplest type of PCB, consisting of one layer of conductive copper foil and one substrate. Single-layer PCB is ideal for applications requiring simple connections. Double-layer PCB contains two layers of conductive copper foil, separated by a substrate. The two layers of copper foil are electrically connected through vias. Double-layer PCB is widely used in devices that require more complex circuit designs.

Our single- and double-layer PCBs are widely used in various electronics. Their cost-effectiveness, reliability and simplicity make them well-suited for electronic functions of moderate complexity.

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MLPCB

MLPCB is a type of PCB with four or more conductive copper layers separated by insulating dielectric substrate material. Compared with single- or double-layer PCB, MLPCBs offer benefits including higher component density, better electrical performance, better reliability and greater layout flexibility. In particular, MLPCBs can support complex chips. MLPCBs are widely applied in high-performance computing, smart devices and automotive electronics, offering broad applicability across nearly all categories of electronic products.

In AI computing, our MLPCBs use ultra-low-loss M8- or M9-grade materials, achieving transmission rates of 112 Gbps and 224 Gbps and routing density of 60/60 μm line width/spacing. These features are critical for meeting the requirements of high-speed, high-density signal transmission in key hardware for AI computing, including AI servers, UBB, switches and optical transceivers. In automotive electronics, they enable reliable performance in systems such as intelligent driving controllers and battery-management units. Similarly, high-speed communication systems rely on MLPCBs to support advanced optical modules and telecom equipment, where compact integration and effective heat dissipation are crucial.

We primarily focus on high layer-count MLPCBs with more than 8 layers. For the nine months ended September 30, 2025, MLPCBs with more than 8 layers accounted for approximately 52.1% of our total MLPCBs revenue, and those with more than 14 layers accounted for approximately 19.6%. Our capability to produce MLPCBs with more than 70 layers places us among the few suppliers able to deliver highly complex, high-reliability MLPCBs at scale and meet the most demanding requirements of the electronics industry. According to Frost & Sullivan, as of the Latest Practicable Date, the number of players globally that could produce MLPCBs with more than 70 layers is less than 10.

HDI

HDIs enable higher wiring density and component integration through the use of advanced via structures, such as blind and buried vias. This frees up more routing space, allows for more compact circuit layouts and improves signal performance. HDIs have a unique build up structure, with a core and multiple layers of building up on each side of the core. The HDI build up is typically expressed as 1+N+1, 2+N+2 and 3+N+3 and so on, with the N representing the layer-count of the core. With ongoing technological advancements, leading industry participants have extended HDI applications to PCBs used in AI systems. Compared to traditional PCBs, HDIs, which have more complex structures and high wiring density due to the build-up design, are particularly suited for AI applications due to their high-speed data transmission capability, compact design, enhanced reliability and durability. These features align with the requirements of AI accelerator cards and AI servers for high frequency, high speed and high stability, making them an ideal choice for components such as GPU accelerator modules, CPU motherboards, and high-speed network interface cards in AI servers. At the same time, HDIs are typically small in size and thus commonly used in applications where space and weight are critical, such as in advanced smart devices and medical devices.

Our advanced HDI products are made of ultra-low-loss M8- or M9-grade materials, achieving transmission rates of 112 Gbps and 224 Gbps and routing density of 60/60 μm line width/spacing. They are widely used in AI accelerators cards, AI servers and high-speed optical communication equipment, where their ultra-fine circuit patterns and high-speed interconnection are essential for supporting complex chip architecture, minimizing signal loss and enhancing system performance under demanding, high-frequency conditions.

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Currently, we are one of the few companies globally capable of mass-producing HDIs with a build-up of 6+N+6 or above. For the nine months ended September 30, 2025, HDIs with a build-up of 6+N+6 or above accounted for approximately 77.3% of our total HDIs revenue.

While HDI and MLPCBs share many similarities, customers choose between them based on how product-specific requirements align with technical capabilities of such PCBs. Even within the same end product, different applications may call for either HDI or MLPCB, with HDI generally preferred where miniaturization, weight reduction and thin form factors are critical due to its high interconnect density and advanced via structures. MLPCBs are favored in applications that prioritize substantial current-carrying capacity, complex signal routing and robust thermal performance. In practice, the selection is ultimately determined by customers’ needs in terms of end products’ electrical, thermal, mechanical and cost requirements.

FPC

FPC is a type of PCB that uses a flexible substrate laminated with conductive copper foil to form circuit patterns. Unlike RPCBs, FPCs can be bent, folded, twisted or flexed repeatedly without breaking. This characteristic allows them to fit into tight or irregular spaces and move with the device during operation, offering greater design flexibility and weight reduction and making them suitable for compact devices or applications involving movement. Our FPC products primarily include single-layer FPC, double-layer FPC, MLFPC and Rigid-Flex, each designed to meet different levels of circuit complexity and mechanical performance.

Our FPC solutions are increasingly adopted in applications such as medical devices, smart devices and automotive electronics. In next-generation medical devices, the flexibility and reliability of our FPCs enable advanced diagnostic and monitoring functions in increasingly miniaturized formats. In smart and wearable devices, our FPCs meet the trend toward slimmer and lighter products. In automotive electronics, they support complex wiring in compact spaces for systems such as battery management and assisted driving modules.

RESEARCH AND DEVELOPMENT

We continue to make significant investments in research and development to capture new market opportunities, bolster our product portfolio and maintain our position as a leading PCB provider. We believe this is critical in enabling us to deliver innovative and customized products, enhance the performance of our products and develop first-to-market technologies in a rapidly evolving and dynamic PCB industry.

Product R&D

Our products are highly customized. We typically engage with customers at the outset of their end-product cycle and work closely to design and develop customized PCBs in line with their specifications and the design of the end products in which our PCBs will be used. As a result, we are involved throughout the entire product life cycle, serving as a key partner from development through mass production.

We begin by identifying the R&D demand and conducting market research to understand technical trends and customer expectations. We begin R&D two to three years before customer product launches, focusing on PCB architecture, material feasibility, front-end design, and verifying key performance indicators. Our engineers create design files and a prototype. We then collaborate with customer R&D teams to refine the product, ensuring it meets all technical

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and performance requirements. Then, the prototype undergoes detailed testing, and a full project summary is prepared. The evaluation team conducts a final review, and upon approval, the product design is formally released for production. Our smart factories and digital intelligent operation platform greatly enhance production efficiency while monitoring manufacturing data in real time. This approach shortens production lead times, reduce costs and ensures quality and timely fulfillment of customer orders. We pursue next-generation technology R&D and keep iterating solutions in close collaboration with our customers, advancing our technology to keep our products at the forefront of the industry.

At the same time, we partner with leading universities and research institutions in China to leverage collective expertise and drive innovation. One of our representative accomplishments that has arisen from such collaborations is a new copper-plating process for aluminum substrates, granted by the Ministry of Science and Technology of China. By developing new formulations and techniques, it effectively addresses adhesion issues of copper plating on aluminum substrates, ensuring strong bonding and uniform coating thickness, improving the suitability for mass industrial production, simplifying manufacturing procedure and enhancing the environmental friendliness, and further improving our competitiveness in PCB manufacturing. Pursuant to the agreement that we enter into with the relevant university, all technical know-how and resulting deliverables arising from these collaborations are subject to strict confidentiality obligations, with ownership and usage rights set out under the relevant agreements. Specifically, we jointly own the intellectual property rights arising from our collaboration with the university and are contractually entitled to promote and apply them in our operation. These contractual terms, together with our relevant patent application, data encryption and access control, and general intellectual property protection measures in “—Intellectual Properties”, protect our rights to the collaboratively developed intellectual property rights.

Production Process R&D

In addition to product-oriented innovation, we also focus on advancing production process R&D. In particular, manufacturing HDIs with a build-up of 6+N+6 or above involves significant technical challenges, including managing highly complex stack-ups with multiple sequential lamination cycles, ensuring precise layer-to-layer alignment and controlling micron-scale laser-drilled microvias, stacked vias and via-in-pad structures. Each additional build-up cycle increases the risk of defects, making yield management and cost control critical. Furthermore, achieving stable signal integrity and impedance control is a precision engineering challenge with ultra-fine trace widths and tight clearances, compounded by thermal and moisture management issues that can affect board reliability and durability. To address these challenges, we have invested heavily in advanced lamination, drilling, plating and in-line inspection systems and material optimization, enabling us to become one of the very few companies globally capable of mass-producing 6+N+6 build-up or higher HDIs, with high yield and quality. These capabilities allow us to meet the demanding requirements of AI accelerator cards, AI servers and next-generation telecommunication infrastructure.

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Future R&D Focus

Our future R&D efforts will focus on several strategic priorities: (i) developing advanced PCB technologies for AI computing, such as 30-layer HDIs and ultra high-layer-count MLPCBs, to meet the complex performance and reliability requirements of AI hardware; (ii) applying advanced materials like M9-grade to enhance electrical performance for high-speed applications; (iii) advancing product development to achieve mass production readiness for high-growth and emerging sectors, including robotics, autonomous driving, and low-altitude aviation; and (iv) enhancing production processes and quality control using technologies like mSAP and back drilling to meet the stringent reliability standards of the AI and next-generation electronics industries.

R&D Team

Our R&D department is organized into specialized teams to manage the full product lifecycle. The core R&D team and a central laboratory focus on developing new technologies and testing materials. To ensure targeted customer engagement, dedicated development teams manage projects for specific sectors, such as automotive and servers, and for key regions like Europe, North America, and Taiwan. A Project Management Department oversees project planning, coordination, and resource allocation from start to finish. Finally, our Intellectual Property Rights Department is responsible for protecting our innovations and managing funding applications, ensuring our technological advantages are secured.

As of September 30, 2025, we had 1,731 experienced research and development personnel, representing 10.2% of our total employees. In 2022, 2023, 2024 and the nine months ended September 30, 2025, our research and development expenses amounted to RMB287.5 million, RMB348.3 million, RMB449.8 million and RMB607.5 million. Our research and development expenses are not capitalized.

SALES AND MARKETING

Most of our products are highly bespoke, and therefore substantially all our sales were made directly to our customers during the Track Record Period. In limited circumstances, i.e., when the price of purchase orders proposed by trading companies are acceptable to us, certain purchase orders are placed through trading companies, as certain end customers may choose to engage trading companies to streamline supplier management, which is consistent with industry practice, according to Frost & Sullivan. During each period of the Track Record Period, revenue from such purchases accounted for less than 1.5% of our total revenue.

We currently have 12 regional sales and customer service teams covering major markets including the PRC, United States, Japan, Europe and South Korea. In addition to maintaining and strengthening relationships with our existing customers, our sales team also proactively explores new opportunities with potential customers, especially as we expand our offering of products and services.

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Our Customers

We have built long-term and stable partnerships with leading players across multiple industries, including globally leading AI technology solution providers, cloud service providers, internet companies, data center equipment OEMs, server brands, top-tier EV companies and automotive electronics suppliers and prominent smart device brands. These strong relationships provide a solid foundation for our future sales growth.

In 2022, 2023, 2024 and the nine months ended September 30, 2025, sales to our five largest customers in each year/period during the Track Record Period amounted to RMB2,209.5 million, RMB2,145.6 million, RMB2,690.5 million and RMB7,177.4 million, accounting for 28.0%, 27.1%, 25.1% and 50.9% of our total revenue. In the same periods, sales to our largest customer in each year/period during the Track Record Period amounted to RMB601.3 million, RMB503.5 million, RMB886.4 million and RMB4,171.7 million, accounting for 7.6%, 6.3%, 8.3% and 29.6% of our total revenue in the respective period. During the Track Record Period, to the best knowledge of our Directors, none of our Directors, their associates or any of our current Shareholders (who, to the knowledge of our Directors, own more than 5% of our share capital) had any interest in our five largest customers in any period during the Track Record Period that are required to be disclosed under the Hong Kong Listing Rules. The tables below set forth certain information of our top five customers during the Track Record Period.

For the nine months ended September 30, 2025			For the year ended December 31, 2024			For the year ended December 31, 2023			For the year ended December 31, 2022		
Customer	Sales amount	% of revenue	Customer	Sales amount	% of revenue	Customer	Sales amount	% of revenue	Customer	Sales amount	% of revenue
	(in RMB millions)	%		(in RMB millions)	%		(in RMB millions)	%		(in RMB millions)	%
Customer A ⁽¹⁾	4,171.7	29.6	Customer A ⁽¹⁾	886.4	8.3	Customer I ⁽⁵⁾	503.5	6.3	Customer A	601.3	7.6
Customer B ⁽²⁾	1,466.1	10.4	Customer C ⁽⁴⁾	614.2	5.7	Customer A ⁽¹⁾	452.4	5.7	Customer K ⁽¹⁰⁾	485.7	6.2
Customer E ⁽³⁾	592.3	4.2	Customer F ⁽⁶⁾	439.4	4.1	Customer F ⁽⁶⁾	445.6	5.6	Customer F	444.0	5.6
Customer C ⁽⁴⁾	515.1	3.6	Customer G ⁽⁷⁾	417.9	3.9	Customer J ⁽⁹⁾	440.5	5.6	Customer J	373.8	4.7
Customer I ⁽⁵⁾	432.2	3.1	Customer H ⁽⁸⁾	332.6	3.1	Customer H ⁽⁸⁾	303.6	3.8	Customer I	304.6	3.9

Notes:

- (1) Customer A is one of the world’s largest original equipment manufacturers for electronics headquartered in Taiwan, with whom we commenced business relationship in 2012. Customer A is listed on the Taiwan Stock Exchange.
- (2) Customer B is a company engaged in the development and manufacturing of information and communications technology products headquartered in Taiwan, with whom we commenced business relationship in 2011. Customer B is listed on the Taiwan Stock Exchange.
- (3) Customer E is a global leading technology company focusing on accelerated computing and AI infrastructure headquartered in the United States, with whom we commenced business relationship in 2020. Customer E is listed on the NASDAQ Stock Market.
- (4) Customer C is a company engaged in the manufacturing and sales of display products and related materials, equipment and products headquartered in Guangdong Province, China, with whom we commenced business relationship in 2012. Customer C is listed on the Shenzhen Stock Exchange.
- (5) Customer I is an electronics manufacturing solutions provider offering integrated design, manufacturing and supply chain services headquartered in the United States, with whom we commenced business relationship in 2018. Customer I is listed on the New York Stock Exchange.

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- (6) Customer F is a leading manufacturer of personal and industrial computers, servers and integrated cloud hardware and software solutions headquartered in Taiwan, with whom we commenced business relationship in 2018. Customer F is listed on the Taiwan Stock Exchange.
- (7) Customer G is a consumer electronics and smart manufacturing company focusing on smartphones, smart hardware and IoT platforms headquartered in Beijing, China, with whom we commenced business relationship in 2018. Customer G is listed on the Hong Kong Stock Exchange.
- (8) Customer H is a technology company engaged in the design, R&D and sales of computers, communication devices, and consumer electronics products headquartered in Taiwan, with whom we commenced business relationship in 2014. Customer H is listed on the Taiwan Stock Exchange.
- (9) Customer J is a company specialized in the development, design and manufacturing of computer peripheral devices, telecommunication devices and consumer electronics headquartered in Taiwan, with whom we commenced business relationship in 2014. Customer J is listed on the Taiwan Stock Exchange.
- (10) Customer K is a company focused on R&D and manufacturing of computers headquartered in Hefei, China.

During the Track Record Period, Customer C, one of our top customers in 2024 and for the nine months ended September 30, 2025, was also one of our suppliers in 2024 and the nine months ended September 30, 2025. Customer C requires its suppliers, including us, to purchase certain raw materials and components used in products manufactured for it from Customer C itself in order to exert better control on the procurement process, lead times, the cost and quality of raw materials, and the timing of delivery. This is commonly referred to in the industry as the buy-and-sell model. We mostly sold our PCBs to Customer C, while our purchases from Customer C were structural parts. In 2024 and the nine months ended September 30, 2025, our purchase from Customer C amounted to RMB54.4 million and RMB46.4 million, accounting for 0.7% and 0.5%, respectively, of our total purchases. Our sales to and purchases from Customer C were conducted in the ordinary course of business and on commercial terms negotiated on an arm’s length basis.

Arrangement with Our Customers

We generally enter into framework agreements with our major customers, with actual price and volume specified in individual purchase orders separately. Agreement terms are generally as the following:

- Duration** : One year to two years. These agreements are typically automatically renewed.
- Pricing** : Specified in individual purchase orders.
- Transfer of risks** . . : Risks are transferred to our customers when the products are accepted by them.
- Payment and credit terms** : 30 days to 150 days after delivery of products.
- Minimum purchase requirements** . . . : None
- Logistics** : We are responsible for delivering products to locations specified by our customers.

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- Returns/exchanges** . . . : Our customers are generally entitled to return or exchange products that do not meet their requirements in terms of quality or specifications.
- Confidentiality** : We and our customers shall exercise reasonable care and take necessary measures to prevent any confidential information obtained under the framework agreement from being disclosed to any third party.
- Termination** : Mutual agreement, and under certain circumstances such as force majeure, bankruptcy of a party, significant delivery delays or material quality defects.

The principal terms of our typical purchase orders primarily include actual quantity and specifications of products to be purchased pursuant to such purchase orders, unit price and total purchase amount, delivery location and expected date, payment terms and method.

Product Pricing

Our products are customized to meet specific customer needs. We generally determine the price of our products based on the costs of developing and manufacturing such products, including raw material costs. We also consider various other factors when we set prices for our products, such as our relationship with the customer, the complexity of the product both in terms of design and manufacturing, the size of the order, our expected profit margin and competition in rendering our price, which is typically specified in purchase orders.

Concentration of Our Customers

In each year/period during the Track Record Period, we had more than 700 customers. During the Track Record Period, sales to certain of our top five customers were relatively concentrated. Specifically, Customer A, one of our top customers in each year/period during the Track Record Period, contributed to 7.6%, 5.7%, 8.3%, and 29.6% of our revenue in 2022, 2023, 2024, and for the nine months ended September 30, 2025. We believe that we do not unduly rely on our major customers because it primarily reflects a significant increase in orders placed in connection with our HDI products for AI and high performance computing for the nine months ended September 30, 2025. This was in line with the overall increase in customer orders during the period and consistent with our broader sales momentum across multiple product categories.

SUPPLY CHAIN

Raw Materials

The raw materials of PCBs mainly include copper-clad laminates, copper foil and copper ball. We mainly source raw materials from the PRC. Our raw material prices fluctuate due to a variety of factors, including supply and demand dynamics, our ability to negotiate prices with suppliers and others. We usually work with multiple suppliers to reduce risks associated with product supply. During the Track Record Period, we did not experience any significant shortage of raw material supplies, and the raw materials provided by our suppliers did not have any significant quality issues.

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Our Suppliers

Our suppliers are mainly suppliers of raw materials and equipment. We have established and maintain stable, long-term and sustainable relationships with these major suppliers.

Selection and Management of Suppliers

We have established rigorous processes for the selection, evaluation and management of our suppliers to ensure suppliers meet our quality and performance standards. We have adopted a multi-tiered supplier risk management framework to ensure the safety, reliability and sustainability of our supply chain. Pursuant to this framework, we consider a number of factors during our supplier selection and qualification process, including each supplier’s financial condition, industry reputation, technical certifications and the price and quality of the products or raw materials they offer, and we evaluate their compliance and ESG records. We assess each potential supplier’s qualifications and credentials carefully, and we also conduct on-site visits to potential suppliers’ business premises before we decide to engage the suppliers. Only those suppliers meeting our minimum compliance and performance standards are approved for onboarding.

We regularly evaluate the performance of our suppliers, focusing on criteria such as operational performance, including delivery capability, price and quality of the products supplied, their compliance with our policies and requirements, and environmental impact and information security. We classify suppliers by risk level, with those considered at higher risk or supplying critical materials subject to more frequent and rigorous reviews. Suppliers failing to meet our standards are issued rectification notices or may be subject to suspension or removal from our approved vendor list. In cases of repeated underperformance, suppliers may be disqualified from future engagement.

Arrangement with our Suppliers

We enter into procurement framework agreements with certain of our suppliers, under which we place purchase orders specifying the price, quantity and specifications of raw materials. Agreement terms typically include the following:

- Duration** : No fixed term. They are entered into at the commencement of the business relationship and remain in effect until it ends due to termination events.
- Pricing** : Mutually decided at the time of each purchase order based on the prevailing market conditions.
- Payment and credit terms** : We make payments to suppliers based on an agreed credit period, with account reconciliation conducted at the end of each month. Suppliers issue invoices based on statements confirmed by both parties, and payment is made in accordance with the agreed credit period after the invoices are verified in our system.

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Minimum purchase requirements : None.

Returns/exchanges : We can exchange or return the raw materials or components that do not meet our quality standards.

Liability/warranty : Our suppliers are liable for any non-conforming products and must compensate us for related losses.

Logistics : Our suppliers are responsible for delivering the raw materials or components to our warehouses or other designated locations.

Termination : The agreement may be terminated by either party. However, if a supplier chooses to terminate the agreement, it is required to continue supplying raw materials or components until we secure an alternative supplier, failing which it will become liable for any losses we incur due to supply shortages.

Major Suppliers

In 2022, 2023, 2024 and the nine months ended September 30, 2025, purchases from our five largest suppliers in each year/period during the Track Record Period amounted to RMB1,892.3 million, RMB1,975.3 million, RMB2,428.2 million and RMB3,447.7 million, accounting for 29.3%, 31.4%, 29.3% and 38.1% of our total purchases. In 2022, 2023, 2024 and the nine months ended September 30, 2025, purchases from our largest supplier in each year/period during the Track Record Period amounted to RMB790.0 million, RMB731.9 million, RMB782.8 million and RMB1,337.4 million, accounting for 12.2%, 11.6 %, 9.4%, 14.8% of our total purchases. Except for Supplier H from whom we procure production equipment, all these are suppliers of our raw materials.

During the Track Record Period, to the best knowledge of our Directors, none of our Directors, their associates or any of our current Shareholders (who, to the knowledge of our Directors, own more than 5% of our share capital) had any interest in our five largest suppliers in any period during the Track Record Period that are required to be disclosed under the Listing Rules. The tables below set forth certain information of our top five suppliers during the Track Record Period.

For the nine months ended September 30, 2025			For the year ended December 31, 2024			For the year ended December 31, 2023			For the year ended December 31, 2022		
Supplier	Purchase amount	% of purchases	Supplier	Purchase amount	% of purchases	Supplier	Purchase amount	% of purchases	Supplier	Purchase amount	% of purchases
	(in RMB millions)	%		(in RMB millions)	%		(in RMB millions)	%		(in RMB millions)	%
Supplier A ⁽¹⁾	1,337.4	14.8	Supplier B ⁽²⁾	782.8	9.4	Supplier B ⁽²⁾	731.9	11.6	Supplier B	790.0	12.2
Supplier B ⁽²⁾	870.5	9.6	Supplier E ⁽⁵⁾	459.1	5.5	Supplier E ⁽⁵⁾	461.2	7.3	Supplier E	404.3	6.3
Supplier C ⁽³⁾	449.4	5.0	Supplier D ⁽⁴⁾	407.8	4.9	Supplier D ⁽⁴⁾	298.0	4.7	Supplier H ⁽⁸⁾	271.6	4.2
Supplier D ⁽⁴⁾	417.3	4.64	Supplier A ⁽¹⁾	405.2	4.9	Supplier F ⁽⁶⁾	264.3	4.2	Supplier G	220.3	3.4
Supplier E ⁽⁵⁾	373.1	4.1	Supplier C ⁽³⁾	373.3	4.5	Supplier G ⁽⁷⁾	220.0	3.5	Supplier I ⁽⁹⁾	206.0	3.2

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Notes:

- (1) Supplier A is a leading global electronic materials provider headquartered in South Korea, with whom we commenced business relationship in 2021.
- (2) Supplier B is a company focusing on the development of high-end copper-clad laminates headquartered in Guangdong Province, China. Supplier B is listed on the Shanghai Stock Exchange, with whom we commenced business relationship in 2015.
- (3) Supplier C is a company engaged in the development, production, sales and services of electronic circuit materials headquartered in Taiwan, with whom we commenced business relationship in 2015. Supplier C is listed on the Taiwan Stock Exchange.
- (4) Supplier D is a company engaged in the research, development production and sale of precious metal compounds, bonding wires and sputtering targets headquartered in Shandong Province, China, with whom we commenced business relationship in 2022.
- (5) Supplier E is a company focusing on grid investment, power transmission and distribution and energy services headquartered in Guangdong Province, China, with whom we commenced business relationship in 2008.
- (6) Supplier F is a company engaged in the research, development, production and sale of copper- based new materials headquartered in Jiangxi Province, China, with whom we commenced business relationship in 2019. Supplier F is listed on the Shanghai Stock Exchange.
- (7) Supplier G is a company engaged in the production of copper-clad laminates and electronic materials headquartered in Taiwan, with whom we commenced business relationship in 2015. Supplier G is listed on the Taiwan Stock Exchange.
- (8) Supplier H is a company engaged in the research, development and manufacturing of laser intelligent equipment headquartered in Guangdong Province, China. Supplier H is listed on the Shenzhen Stock Exchange.
- (9) Supplier I is a company engaged in the research, development and manufacturing of highperformance copper-clad laminates and prepregs headquartered in Shanghai, China. Supplier I is listed on the Shanghai Stock Exchange.

MANUFACTURING

We manufacture our PCB products in our production centers in (i) Huizhou, Guangdong Province, PRC, (ii) Changsha, Hunan Province, PRC, (iii) Yiyang, Hunan Province, PRC, (iv) Phra Nakhon Si Ayutthaya, Thailand and (v) Melaka, Malaysia. We have integrated smart manufacturing into various aspects of our production, significantly improving our production efficiency and product yields. In 2015, we started to established one of the first smart factories in the Chinese PCB industry in Huizhou, which features automated manufacturing, automated logistics, digitized management and intelligent decision making. These allow us to achieve satisfactory production yield, timely fulfillment of customer orders and production cost reduction.

In addition, “Green Manufacturing” is one of our core strategies, whereby through technological innovation and strategic planning, we have proactively developed an industry-leading manufacturing system that emphasizes efficiency, cleanliness, low carbon emissions and circularity by implementing technologies for energy conservation and emission reduction. We are one of the first companies in the industry to obtain the “National Green Factory” certification by the MIIT and have been awarded “*Clean Production Enterprise in Guangdong Province*” and “*Advanced Energy Conservation Organization in Guangdong Province*”.

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Production Process

Generally, the production of PCB products involves the following processes: (i) *Material Preparation*. Production begins by cutting core materials to size. This involves rigid copper-clad laminates for most PCBs, while FPCs use flexible substrates like polyimide. The initial circuit patterns are then transferred onto the inner layers and etched; (ii) *Lamination and Layer Build-up*. For multi-layer boards (MLPCB, HDI), inner layers are bonded together using heat and pressure. HDIs use a sequential “build-up” process, adding layers in cycles to create complex interconnections, while FPCs have protective coverlay films bonded to them; (iii) *Via Creation and Plating*. Vias are drilled to connect the layers. While standard PCBs use mechanical drilling, HDIs require laser drilling for high-density microvias. The via walls are then cleaned and plated with copper to create reliable electrical pathways between the board’s layers; (iv) *Outer-Layer Imaging and Finishing*. The outer circuit pattern is defined using photolithography and etched. A protective solder mask is applied to the board, followed by a surface finish to ensure solderability and prevent corrosion. Finally, identification marks are printed onto the surface; (v) *Profiling, Testing, and Inspection*. Boards are cut to their final shape — a process called profiling for rigid boards or punching for FPCs. Each unit undergoes electrical testing to detect any shorts or opens, followed by a final inspection to ensure product quality; and (vi) *Packaging and Shipment*. Following a successful final inspection, the finished PCBs are carefully packaged in protective materials and prepared for delivery to the customer.

Production Centers

We operate six production divisions for MLPCBs and one production division for HDIs. We believe that the design promotes clear division of responsibility while enables mutual support in peak order seasons. The majority of our PCB products were produced in the production center located in Huizhou. In addition, the setup also strengthens our capability to serve the diverse product need of different customers. The following table sets forth certain information regarding our production centers as of September 30, 2025.

Production center	Primary products	Total gross floor area (m^2)
Huizhou, Guangdong, PRC	Single- and double-layer PCB, MLPCBs and HDIs	351,104.0
Changsha, Hunan, PRC,	MLPCBs and FPC	47,064.3
Yiyang, Hunan, PRC	FPC	30,181.0
Phra Nakhon Si Ayutthaya, Thailand.	MLPCBs	81,653.6
Melaka, Malaysia	FPC	31,583.4

In addition, we are in the process of constructing new production centers to further enhance our capacity. As of the Latest Practicable Date, we are developing new facilities located in Bắc Ninh, Vietnam which is expected to commence operations in 2026. We are also constructing new facilities in Phra Nakhon Si Ayutthaya, Thailand. Part of these facilities was modified and brought into production in the second half of 2025. The remaining portion is scheduled to commence operations in the second half of 2026. Both facilities will primarily focus on the production of MLPCBs and HDIs.

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The following table sets forth the production capacity and utilization rate for our main product categories for the periods indicated.

	Year Ended December 31,									Nine Months Ended September 30,		
	2022			2023			2024			2025		
	Capacity ⁽¹⁾	Utilization ⁽²⁾	Output	Capacity	Utilization	Output	Capacity	Utilization	Output	Capacity	Utilization	Output
	'000 sq m	%	'000 sq m	'000 sq m	%	'000 sq m	'000 sq m	%	'000 sq m	'000 sq m	%	'000 sq m
Single- and double-layer PCB & MLPCBs ⁽³⁾ . . .	8,412	88.0	7,399	8,255	88.4	7,298	8,652	90.4	7,822	6,355	77.1	4,900
HDI.	703	52.8 ⁽⁴⁾	371	710	71.5	508	930	69.6	647	436	91.1	397
FPC.	–	–	–	54	59.7	32	660	73.0	482	491	78.2	384
Total	9,115	85.3	7,770	9,019	86.9	7,838	10,242	87.4	8,951	7,282	78.0	5,681

Notes:

- (1) We proactively adjust our production capacity periodically based on the orders we receive and our sales forecast. The manufacturing of higher layer-count MLPCBs involves longer production time and more production steps. As such, the capacity would be reduced if we forecast more higher layer-count MLPCBs will be produced in a given period. Similarly, the production of HDIs with higher build-up involves the repetition of certain steps, and the capacity would be reduced when we forecast a large volume of higher build-up HDIs.
- (2) Utilization rate is calculated by dividing the actual volume of units produced in the period by the production capacity of the period.
- (3) The production capacity and utilization rate of single- and double-layer PCB and MLPCBs are calculated on a combined basis as they share similar manufacturing processes.
- (4) The utilization rate of our HDIs production lines was lower in 2022 as we were still ramping up our HDIs business.

Production Planning

We typically plan our production monthly based on the forecasted customer demand and the anticipated market trends. We continuously review our production plans and utilization rates and update our production plans at least on a weekly basis, or more frequently on a daily basis if required, pursuant to the utilization rate of our factories in the preceding week and the rolling forecasts of customer orders and expected utilization rates. We also strategically plan our production in advance to prepare for seasonal increases in customer orders.

Equipment and Machinery

Major equipment and machinery used in our production processes include (i) laser drilling machine, (ii) pressing machine, (iii) etching machine and (iv) other automated equipment. We typically purchase equipment such as mechanical drilling machines, laser drilling machines, LDI systems, Pin Lam presses, plasma surface treatment machines, CCD-guided back drilling machines, PLB horizontal electroplating lines, industrial CT scanning systems and through-hole filling lines from leading industry suppliers. We established lasting relationship with global leading equipment suppliers and work with them to ensure that the products they provide meet our requirements and quality standards. We regularly inspect and maintain the material equipment and machinery used in our production processes and replace worn consumable parts and components. Our major production equipment and machinery have an estimated average useful life of 10 years.

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Inventory Management

Our inventories mainly include raw materials, work-in-progress and finished goods. Based on our forecasted orders, our inventory management department conducts a daily check and update of our inventory level and plans our procurement accordingly. We generally maintain raw material inventories based on lead times and production requirements, with inventory levels varying slightly by types of materials to support production activities. We also conduct inventory aging analysis periodically to reduce the risk of inventory obsolescence and employ our intelligent warehousing system to track and manage our inventory aging status. According to Frost & Sullivan, our inventory turnover days during the Track Record Period are in line with industry norm.

Logistics

Our products are usually stored in our own warehouses located in our production centers before they are delivered to our customers. We primarily use third-party logistics service providers for the delivery of finished goods from our production centers and warehouses to locations specified by our customers. We set strict standards for the transportation of our products that these third-party logistics service providers are required to follow, and we evaluate the third-party logistics service providers periodically on their performance and compliance with our requirements to ensure smooth delivery of products to customers. We usually enter into agreements with our logistics service providers on a biennial basis. Our logistics service providers bear the risks associated with the transportation of our products.

Quality Control

We believe that product quality is the cornerstone of our business operations and sustainable growth. We are committed to delivering products that meet the highest industry standards and exceed customer expectations. Our comprehensive quality control and quality assurance systems are integrated into every stage of our production process, ensuring consistent and reliable production and delivery of high-quality products.

We have established an ISO 9001:2015-certified quality management system and an ISO 14001-certified environmental management system. For PCB products for automotive electronics, we comply with IATF 16949 standards. We conduct regular internal audits and management reviews of our quality control systems to promptly identify and address potential issues, ensuring continuous improvement and refinement of our quality control systems. To ensure product quality, we have a quality control department dedicated to implementing quality control measures throughout the entire production cycle, including raw material inspection, in-process quality control and final product inspection. Our quality control procedures and processes cover our entire production process to ensure that our product quality meets expectations, and we impose stringent requirements after each critical process, including on yield rate, which we closely monitor.

WARRANTY AND AFTER SALES SERVICES

We generally provide a two- to three-year warranty for our PCBs, which we believe is in line with prevailing industry practice. Our warranties cover the quality of products to ensure they meet the agreed specifications. We make provisions for warranties based on our best estimate of the expected claims under our sales agreements. We have devised a standard operation procedure for customer service. We collect and record customer feedbacks and

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complaints from different channels and make timely responses in order to achieve customer satisfaction. We accept returns of our products for defects. We have not received any requests for returns during the Track Record Period which individually or in aggregate had a material adverse effect on our business and financial condition. In addition, during the Track Record Period, we had not experienced any material product recall, liability claims or customer complaints that adversely impacted our reputation, business operations or financial condition.

INTELLECTUAL PROPERTIES

Our research and development efforts have produced 372 patents, including 181 invention patents, 138 registered trademarks, 21 copyrights and 33 domain names as of September 30, 2025. See “Appendix VI — Statutory and General Information — Further Information about the Business — Intellectual Property.” These intellectual properties cover our production processes as well as the design of our products.

We rely on a combination of intellectual property protections laws and contractual arrangements, including confidentiality provisions, to establish and protect our proprietary technologies, know-how and other intellectual property rights. Our intellectual property rights department is primarily responsible for protecting our intellectual properties. We proactively manage and expand our intellectual property portfolio by establishing a systematic management framework and use confidentiality and non-compete agreements to protect our intellectual properties and trade secrets. During the Track Record Period, we did not experience any material infringement of our intellectual property rights. Neither our Group nor any of our intellectual properties was the subject of, or to the best of the Directors’ knowledge, is expected to be subject to, any disputes or litigation in relation to the infringement of any intellectual property rights during the Track Record Period.

ENVIRONMENTAL, SOCIAL AND GOVERNANCE MATTERS

We are committed to advancing ESG as part of our sustainable growth efforts. We have adopted a set of ESG policies aligned with applicable laws, regulations and standards. These policies outline our approaches to corporate governance, environmental management, social responsibility, labor protection and business integrity.

ESG Governance Structure

We have established a robust ESG management framework that assigns specific ESG responsibilities across different levels of our organization to strengthen ESG management and implementation. The ultimate responsibility for setting ESG strategies, objectives and managing related risks resides with our Board and senior management. Specifically, the Strategy and Investment Committee of the Board is responsible for overseeing ESG and sustainability-related strategies, goals and risks. It meets at least once annually to review major ESG issues, make decisions, approve the annual ESG report, and it provides recommendations on ESG practices to the Board. The ESG Committee, chaired by our Chairman and reporting to the Strategy and Investment Committee, is responsible for implementing, reviewing and evaluating the of ESG strategies, systems, work plans and risk management measures. At the management level, we have set up an ESG task force and sub-task forces, headed by management of various departments, to implement ESG work plans and monitor their effectiveness. The departments execute the ESG goals and report the implementation status on a monthly, quarterly, semi-annual, and annual basis. During the Track Record Period and up to Latest Practicable Date, we were not exposed to any material ESG-related risks or issues.

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ESG Risk Identification, Assessment and Response Summary

We have established internal systems and procedures to systematically identify, assess and manage ESG-related risks and opportunities across our operations, guided by our established procedures. Based on this framework, we have identified certain material issues relevant to our operations and implemented targeted measures to address them. To address environmental challenges like extreme weather and policy changes, we reinforce our facilities and optimize energy use. Socially, we focus on employee well-being through workload management and wellness programs, while also analyzing customer feedback to ensure satisfaction. Our governance strategy includes enhancing collaboration with a formal ESG framework, applying strict supplier qualification processes, maintaining robust emergency response plans, and ensuring transparent communication with regulators.

The Board is involved in the identification process and prioritization of material ESG issues primarily through the Strategy and Investment Committee’s annual meetings and the ESG task force and sub-task forces’ feedbacks. In addition, the Strategy and Investment Committee submits to the Board the material ESG issues to ensure supervision, and it conducts analysis and presents the issues for discussion and decision-making. The Strategy and Investment Committee also confirms the allocation of resources to ESG issues and formulate sustainable actions plans.

Environmental Indicators and Management

We integrate environmental management into our operations, corporate strategy, governance framework and risk management. During the Track Record Period, we were not subject to any material administrative penalties imposed by environmental authorities for violations of environmental laws, regulations or related requirements.

Emissions

We effectively manage exhaust gases, wastewater, and solid waste by investing in pollution prevention and focusing on source control. For air quality, we use environmentally friendly refrigerants while avoiding ozone-depleting substances. We reduce wastewater through multi-stage rinsing techniques and pre-treat it on-site before discharge. All solid waste is carefully classified and stored in secure, compliant facilities to prevent contamination, ensuring safe and responsible handling.

Resource Consumption

Our main resources consumed are electricity, natural gas and water. In alignment with our current business operations and industry practices, we have established a series of energy management goals to drive sustainable transformation, including increasing the proportion of clean energy consumption by 16% with renewable energy comprising 16% of total electricity consumption; requiring that all purchased manufacturing equipment meets at least Grade II energy efficiency standards; and promoting boiler waste heat recovery and the use of energy storage batteries.

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In March 2024, we obtained *AWS International Water Stewardship Standard (Gold Level)* certification. In September 2023, we were recognized as a *Water-Saving Enterprise* in Huizhou by Huizhou Municipal Bureau of Industry and Information Technology and Huizhou Municipal Water Resources Bureau.

We also set a series of resource consumption targets in guiding our operations. For example, our annual energy intensity target for HDIs in 2025 is 38.78 kgce/m² (kilograms of coal equivalent per square meter), compared with 40.94 kgce/m², 40.22 kgce/m² and 39.50 kgce/m² in 2022, 2023 and 2024, respectively. In setting these targets, we considered our continued expansion in scale, technological advancements, the continued availability of renewable energy and environmentally friendly equipment and parts, and also assumed no material adverse events to the general economy and our operations. In 2022, 2023 and 2024, our electricity consumption was 617.3 GWh, 676.5 GWh, and 842.1 GWh, respectively, and our natural gas consumption was 8.8 million m³, 9.8 million m³ and 9.7 million m³, respectively.

Carbon Management

In July 2024, we officially established our science-based emission reduction targets under the SBTi framework, committing to reducing our Scope 1 and Scope 2 greenhouse gas emissions by 42% and Scope 3 emissions by 25% by 2030, using 2022 as the baseline year. As part of this commitment, we have set a target of annual 5% reduction in our total Scope 1 and Scope 2 emissions. In setting these targets, we considered our continued expansion in scale, technological advancements, the availability of environmentally friendly equipment and parts, and also assumed no material adverse events to the general economy and our operations. To achieve such goals, we have been installing solar PV systems, adopting energy-efficient equipment, implementing waste heat recovery, and conducting green procurement.

We are committed to establishing and enhancing ESG-related policies across our operations. Following our acquisition of APCB in 2024, we have been in the process of gradually implementing our ESG policies within the acquired entity, and such implementation has not yet been fully completed. With the exception of APCB, the Group’s carbon emission from 2022 to 2024, measured in ktCO₂e (thousand metric tons of carbon dioxide equivalent), are as follows:

Classification	2022	2023	2024
Scope 1	37.4	47.1	57.0
Scope 2	496.4	540.2	661.4
Scope 3	<u>945.5</u>	<u>1,030.8</u>	<u>1,080.0</u>

Identification of climate-related opportunities

While managing both physical and transition risks, we also actively pursue sustainable growth opportunities by implementing our “Ten Zero-Carbon Strategies,” a framework that integrates climate action into our core business. We are establishing a green manufacturing system by adopting renewable energy, such as PV power, and using energy-saving equipment. Additionally, our products are increasingly used in low-carbon industries like AI servers and electric vehicles, and we continue to invest in R&D to develop high-performance, energy-efficient PCBs for these markets.

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Social Indicators and Management

We are committed to corporate social responsibility by driving positive social impact through fair employment and high safety standards. We maintain a compliant and supportive employment system, ensuring legal working hours and competitive, performance-based compensation. Our approach includes comprehensive welfare programs, training, and accommodations for employees with disabilities. Occupational health and safety are paramount, managed through an ISO 45001 certified system that covers risk identification, emergency response, and regular third-party inspections. We equip all machinery with safety devices, provide personal protective equipment for high-risk roles, and conduct continuous safety training to protect our workforce. Owing to our efforts, during the Track Record Period, we were not subject to any material administrative penalties or non-compliance incidents in relation to labor and employment regulations. And we experienced no material accidents or fatal occupational accidents and were not subject to any material administrative penalties imposed by work safety authorities for violations of production safety laws or regulations.

Community and Social Welfare

Over the years, we have been committed to giving back to society through a range of philanthropic initiatives, regularly organizing volunteer activities and actively participating in community development efforts. In 2024, we donated RMB4.0 million, including RMB2.3 million used for the “Hundreds of Millions Project” to support rural development, RMB1.0 million to support cultural development infrastructure and activities and RMB0.7 million to support the renovation and upgrade of Huiyang District’s community service center.

DATA PRIVACY AND CYBERSECURITY

In recent years, data privacy and cybersecurity have emerged as critical governance priorities for companies worldwide. In particular, the PRC legislative and government authorities regularly introduce new cybersecurity, data security and privacy laws and regulations. Consequently, our practices regarding the collection, process and transfer of various types of data may come under increased administrative scrutiny. See “*Risk Factors — Risk Relating to Our Business Operations — Our information systems may experience system failures, interruptions or security breaches*” for further details.

Due to our business needs, we collect and store business data, management data and transaction data generated during or in connection with our business operations, including data related to our business and transactions with our customers, suppliers and other relevant parties. We generally do not collect or process individual customers’ personal information since our customers are brand companies rather than individuals. In view of our operations, we prioritize data security and privacy protection, strictly adhering to the *Network Security Law*, *Personal Information Protection Law*, *Data Security Law* and *ISO 27001* standards and undergo annual supervision and audits by third-party institutions. Our legal and information technology departments are responsible for developing and implementing our policies and procedures relating to cybersecurity and data security.

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Attributable to our sustained efforts, we have established a comprehensive data compliance system that consists of organizational structure and internal policies. In recognition of our data security protection efforts, our data security policies have been certified under ISO27001, and we have obtained Tier 3 cybersecurity classification under the TIASX framework. As a result of the aforementioned efforts, (i) As advised by our legal adviser as to PRC cybersecurity and data privacy protection laws, as of the Latest Practicable Date, we were in compliance with applicable PRC data privacy and cybersecurity laws and regulations in all material aspects. The types of data processed by the Group mainly include two categories: 1) personal information of employees, suppliers and customers contacts and visitors, without any end-user’s personal information; 2) data related to product R&D, production and sales. As of the Latest Practicable Date, as advised by our legal adviser as to PRC cybersecurity and data privacy protection laws, no law or regulation with a clear important data catalog has been issued for the industry in which the Group operates, and as confirmed by the Group, the competent authorities have not notified the Group to declare any important data or informed the Group that any data processed by it constitutes important data as of the Latest Practicable Date. Based on the above, the Group believes that it currently does not hold any important data as specified by the applicable PRC laws. During the Track Record Period and up to the Latest Practicable Date, the Group had not experienced any data leakage incident, or received any administrative penalty or investigation related to data privacy and cybersecurity by government authorities. (ii) As advised by our legal advisers as to Thai law, Singaporean law and Malaysian law, during the Track Record Period and up to the Latest Practicable Date, we were in compliance with applicable data privacy laws and regulations in Thailand, Singapore and Malaysia, respectively, in all material aspects, and the cybersecurity laws and regulations in Thailand, Singapore and Malaysia were not applicable to us. (iii) During the Track Record Period and up to the Latest Practicable Date, we did not engage in cross-border data transmission in Vietnam as we remained in the process of constructing facilities in Vietnam.

INFORMATION TECHNOLOGY

Our information technology systems are essential to our business operations. We have developed or employ various information technology systems covering all material aspects of our operations, including sales, supply chain management, inventory management, production and quality control. Our information technology department is responsible for developing and maintaining information technology systems to support our business operations and growth. Our Customer Relationship Management (CRM) system manages client data and sales processes, while the Enterprise Resource Planning (ERP) system provides a unified platform for cross-departmental collaboration and data-driven decisions. We optimize our supply chain with a Supplier Relationship Management (SRM) system and ensure product standards are met using a Quality Management System (QMS) to monitor for and resolve defects early.

COMPETITION

The PCB industry is highly competitive, with global production centered in China while a growing number of manufacturers are also establishing facilities in Southeast Asia to enhance supply chain resilience. The market remains fragmented, with many players across segments. To maintain and grow our business, we must continue to meet our customers’ requirements and deliver differentiated, high-performance products that meet their evolving needs. If we are unable to keep pace with such advancements or fail to differentiate our products in terms of quality or cost, we risk losing market share to our competitors. See “*Industry Overview*” for details relating to our competitive landscape.

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INSURANCE

We maintain insurance policies to manage liability. In addition, we have purchased property-related insurance policies covering our facilities, machinery, equipment, inventories and other assets. We review our insurance policies from time to time to assess the adequacy and breadth of coverage. We believe that our existing insurance coverage is adequate for our business operations and is in line with industry standards in the countries in which we operate. Nevertheless, we may be exposed to claims and liabilities which exceed our insurance coverage. See “*Risk Factors — Our insurance coverage may be insufficient to cover all of our potential losses*” for further details.

SEASONALITY

Demand for and sales of our products follow the same seasonality pattern as sales of the end products that feature our PCB products. For PCB products applied in AI infrastructure, automotive electronics, telecommunication and medical devices and other applications, the seasonal pattern is less pronounced. In comparison, for PCBs products used in smart devices, we typically experience higher sales in the second half of the year due to the new product launch cycles of smartphones and increased shopping activities during the holiday season. See “*Risk Factors — Our sales may be influenced by seasonality*” for risks associated with the seasonality of our sales.

PROPERTIES

As of September 30, 2025, we operated our business through owned and leased properties in 34 locations in the PRC, Thailand, Vietnam, Malaysia and Singapore. We primarily use our owned and leased properties as our production centers and office premises.

As of September 30, 2025, we had no single property with a carrying amount of 15% or more of our total assets, and on this basis, we are not required by Rule 5.01A of the Listing Rules to include any valuation report in this document. Pursuant to section 6(2) of the Companies Ordinance (Exemption of Companies and Prospectuses from Compliance with Provisions) Notice, this document is exempted from compliance with the requirements of section 342(1)(b) of the Companies (Winding Up and Miscellaneous Provisions) Ordinance in relation to paragraph 34(2) of the Third Schedule to the Companies (Winding Up and Miscellaneous Provisions) Ordinance, which requires a valuation report with respect to all of our interests in land or buildings.

As of September 30, 2025, we owned properties in 15 locations with a gross floor area of over 900 thousand square meters in the PRC, Thailand and Malaysia. We mainly use these properties as our production centers, warehouses and office premises. As of the same date, we leased properties in 21 locations with a gross floor area of approximately 100 thousand square meters in the PRC, Malaysia, Vietnam and Singapore, mainly as our production centers, warehouses and office premises.

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EMPLOYEES

As of September 30, 2025, we had 17,006 full-time employees, with approximately 81.7% of our employees located in the PRC. Among them, production, sales and marketing, technical, finance, administrative and other employees amounted to 11,566, 302, 3,491, 86, 567 and 994, respectively, contributing to 68.0%, 1.8%, 20.5%, 0.5%, 3.3% and 5.8% of our workforce as of the same date.

We provide our employees with certain benefits including social insurance coverage, housing provident fund contributions, health check-ups, meal allowances, as well as wedding, childbirth and immediate family bereavement payments. We enter into individual employment agreements with our employees to cover matters such as wages, employee benefits, confidentiality and grounds for termination. Our employees’ compensation is determined by job positions, technical skills, performance and market benchmarks. We also conduct annual reviews to adjust compensation levels based on market trends and company performance. We have established a comprehensive career development framework that offers different advancement paths to meet the different career aspirations of our employees and help unlock their potential. To meet this goal, our employee training programs cover onboarding training, job-specific training, annual training plans, promotion training, leadership development programs, quality-focused initiatives and other specialized training projects. We endeavor to ensure that our employees can have their feedback and complaints heard through various channels, including physical suggestion boxes, email, hotlines, meetings with management and employee representatives and a dedicated complaint platform on WeChat. We have established a labor union and a collective bargaining mechanism, and all employees are union members. We believe we maintain good employment relationships across the company. During the Track Record Period, we did not experience any strikes, work stoppages, or labor disputes that had a material adverse effect on our business or operations.

According to relevant PRC laws and regulations, we are required to make contributions to the social insurance fund and housing provident fund for the benefit of our employees in China. During the Track Record Period, we and certain of our PRC subsidiaries did not make adequate contributions to the social insurance and housing provident funds with respect to certain of our employees as required by the relevant PRC laws and regulations primarily because there are different interpretations of the relevant laws and regulations by local competent authorities which may deviate from the strict implementation of the relevant laws and regulations, and we followed the local practices and interpretations of the laws and regulations by the local competent authorities.

As advised by our PRC Legal Advisor, pursuant to applicable PRC laws and regulations, if an employer fails to make social insurance contributions in full, the relevant authorities could order the employer to pay, within a prescribed time, the outstanding amount with an additional late payment penalty at the daily rate of 0.05%, and if the employer fails to make the overdue contributions within such time limit, a fine equal to one to three times the outstanding amount may be imposed. Additionally, pursuant to applicable PRC laws and regulations, if an employer is overdue in the payment and deposit of, or underpays, the housing provident fund, the relevant authority could order the employer to make the payment and deposit within a prescribed time limit and, failing which, an application may be made to a court in China for compulsory enforcement. According to our PRC Legal Advisor, the likelihood that we would be subject to material administrative penalties due to our failure to provide full social insurance and housing provident fund contributions is remote provided that there are no

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significant changes in current policies, regulations, local government supervision, and law enforcement requirements related to social insurance and housing provident fund and based on the following reasons: (i) during the Track Record Period and up to the Latest Practicable Date, we had not received any notification from relevant government authorities requiring us to pay shortfalls or the penalties with respect to social insurance or housing provident funds; (ii) we had not been subject to any administrative penalties with respect to social insurance or housing provident funds; (iii) we and all of our PRC subsidiaries have obtained written confirmations from competent local government authorities which confirmed that no administrative penalties had been imposed on us with respect to social insurance or housing provident funds during the Track Record Period; and (iv) we will make full contributions or pay any shortfall within a prescribed period if demanded by the relevant government authorities.

Furthermore, as advised by our PRC Legal Advisor, the Interpretation II by the Supreme People’s Court of the PRC on Legal Issues Concerning the Application of Law in the Trial of Labor Dispute Cases (《最高人民法院關於審理勞動爭議案件適用法律問題的解釋(二)》) (the “**New Judicial Interpretation**”) is not expected to have a material adverse effect on our financial position and business based on that (i) the New Judicial Interpretation is not expected to increase the maximum potential administrative penalty for our shortfall of social insurance contributions during the Track Record Period, (ii) the Company confirmed that it is not aware of any material or large-scale complaints, objections or labor disputes raised by our employees in relation to our social insurance contributions, and (iii) we will make full contributions or pay any shortfall within a prescribed period if demanded by the relevant government authorities. However, if the relevant PRC authorities hold a different view with the PRC Legal Advisor and determine that we are not in compliance with the New Judicial Interpretation, our financial and business performance may be adversely affected.

LICENSES, PERMITS AND APPROVALS

We are required to obtain or maintain various licenses, permits and approvals in order to operate our business. We believe we have all material licenses, permits and approvals necessary in order to operate our business. We continually monitor our compliance with these requirements in order to ensure that we have all such approvals, licenses and permits as are necessary to operate our business. Material requisite licenses, permits and approvals obtained for our operations include customs registrations for import and export goods consignee/consignor, which are held by the Company, Shenghua Electronics, Yiyang Weisheng, Weisheng Technology and Weisheng Circuit Board with an expiry date of December 31, 2099 and radiation safety licenses, which are held by the Company, Yiyang Weisheng, Weisheng Circuit Board and Weisheng Technology, with validity periods of May 4, 2023 to May 3, 2028, April 29, 2024 to April 28, 2029, January 7, 2025 to January 20, 2030 and August 29, 2025 to August 28, 2030, respectively.

According to our PRC Legal Advisor, all material requisite licenses, permits and approvals obtained by the Group had remained in full effect during the Track Record Period and up to the Latest Practicable Date, and there is no material legal impediment in renewal of the expiring licenses, approvals and permits provided that we are in compliance with applicable laws, regulations and rules. We had not experienced any material difficulties in renewing material licenses, permits or approvals during the Track Record Period and do not expect there to be any material difficulties in renewing them upon their expiry.

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LEGAL PROCEEDINGS

As of the Latest Practicable Date, there were no litigation, arbitration or administrative proceedings pending or threatened against us or any of our Directors which could have a material and adverse effect on our financial condition or results of operations. During the Track Record Period and up to the Latest Practicable Date, there were no material breaches or violations of laws or regulations applicable to us which are expected to have a material adverse effect on our business, financial condition or results of operations.

RISK MANAGEMENT AND INTERNAL CONTROL

Our future operating performance may be affected by risks relating to our business. Some of these risks are specific to us while others relate to economic conditions and the general industry in which we operate. See “*Risk Factors*” for a discussion of these risks.

The Board of Directors and our senior management are responsible for establishing and maintaining adequate risk management and internal control systems. Risk management is the process designed to identify potential events that may affect us and to manage risks to be within our risk appetite. Internal control is the process designed to provide reasonable assurance regarding achievement of objectives related to effectiveness and efficiency of operations, reliability of financial reporting and compliance with applicable laws and regulations. We have implemented or will adopt upon [REDACTED] a number of policies and measures to manage our risks and set up proper internal controls. These policies cover areas such as (i) the duties and roles of the Directors, the Board and our senior management; (ii) social and environmental matters, including policies on diversity; (iii) financial reporting; (iv) whistleblowing; (v) prevention of market misconduct; and (vi) compliance with the Listing Rules. Under our risk management and internal control policies, the Board oversees risk management and internal control systems on an ongoing basis and reviews the effectiveness of these systems. In 2025, we engaged an independent consulting firm to perform a review over our internal control. The key areas of review include financial reporting and disclosure, research and development management, management policies over sales, supply chain controls, trade receivables and payables management, product safety control, inventory management, fixed asset management, intangible assets management, human resource and remuneration management, capital management, tax management, insurance management, and information system general control.

We have implemented a series of strict internal policies to promote business integrity and prevent corruption, bribery, fraud and money laundering. We also conduct compliance trainings, including anti-corruption, fraud prevention and anti-money laundering sessions, to strengthen employee awareness. During the Track Record Period, we had not recorded any instances of corruption or misconduct that had, or were likely to have, a material adverse effect on our business.

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IMPACT OF THE COVID-19 PANDEMIC

Despite the macroeconomic challenges posed by the COVID-19 pandemic, our business operations and financial condition remained stable during the Track Record Period and were not materially and adversely impacted by the COVID-19 pandemic. Our production activities and supply chain remained stable and were operating without material constraint during the Track Record Period. During the Track Record Period, we did not observe material adverse effects on our third-party service providers (e.g. supply of raw materials, provision of logistic services) either. In addition, we continued to observe healthy demand across our customer base, with no material adverse shift in their purchases that can be directly attributed to the COVID-19 pandemic. During the Track Record Period, we have not encountered any significant cancellations, deferments or abnormal pricing pressures linked to factors related to the COVID-19 pandemic.

TRADE RESTRICTIONS, TARIFF POLICIES, AND INTERNATIONAL SANCTIONS

Trade Restrictions and International Sanctions

The United States and other jurisdictions or organizations, have, through executive order, legislation or other governmental means, implemented measures that impose economic sanctions against certain countries and other jurisdiction, targeted industry sectors, companies and persons. Most notably, these include U.S. economic sanctions as implemented by the U.S. Department of the Treasury’s Office of Foreign Assets Control (the “OFAC”).

In addition to economic sanctions, in recent years, the United States has expanded export controls restrictions on China through the Export Administration Regulations (the “EAR”), which is administered by the Bureau of Industry and Security of the United States Department of Commerce (the “BIS”). These include controls on items exported from the United States, items of U.S. origin (wherever located), and, under the EAR’s “de minimis rules,” on certain non-U.S.-made items that incorporate controlled U.S.-origin items or incorporate or are bundled with U.S.-origin software or technology. Also, under the EAR’s “foreign direct product rules,” the EAR applies to items manufactured outside the United States that are the direct product of certain controlled U.S.-origin technology or software when exported, reexport or transferred to specific destinations and end-users.

In addition to country-based restrictions, BIS maintains lists of persons that are subject to enhanced export control restrictions. One such list, the Entity List, includes a list of foreign persons on which certain trade restrictions are imposed. In recent years, the United States has placed an increasing number of entities, including hundreds of entities in China, on the Entity List and other restricted or prohibited party lists. In addition to naming additional persons to these lists, BIS has imposed complex and restrictive rules applicable to doing business with persons on them. The restrictions applicable to Entity List parties include licensing requirements for exports, reexports, or transfers of items on lists of controlled items maintained by the U.S. government, which in most cases prevents these named entities from receiving essentially any item subject to U.S. export controls, including, in some cases through the application of the EAR’s foreign direct product rules, to items produced wholly outside the United States. In addition, from September 29, 2025, under the BIS Entity List Affiliate Rule, the Entity List restrictions apply not only to parties included on the Entity List, but also to any person that is 50% or more owned, directly or indirectly, by parties on the Entity List or certain other restricted party lists. However, on November 12, the BIS issued one-year suspension of

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the BIS Entity List Affiliate Rule, set to end on November 9, 2026, absent a future extension. We screen our counterparties to determine if they are subject to applicable economic sanctions or export control restrictions and have not identified any sales that involve such sanctioned parties or jurisdictions, including those parties and jurisdictions subject to OFAC-administered sanctions. However, during the Track Record Period, three of our customers were included on the BIS Entity List. The revenue generated from these customers in the aggregate accounted for 0.2%, 0.2%, 0.4% and 0.5% of our total revenue in 2022, 2023, 2024 and the nine months ended September 30, 2025, respectively. The products sold to these customers are standard PCB products. Our U.S. legal advisor has advised that based on the information we provided, the items that we sold to these customers do not involve the transfer, export or reexport of items subject to the EAR. The Directors believe that the Group is not subject to any trade restrictions or sanctions risks that would materially affect its business operations. The Joint Sponsors confirm that they do not have any reason to disagree with this view. However, given the complexity of these regulations and sudden and unpredictable nature of changes to them, it is difficult to predict developments in this area and we have no ability to influence such determinations. Considering these issues, we discontinued sales to Entity List-designated customers from October 2025. For associated risks, see “Risk Factors — Risks Relating to Our Business and Industry — We may be subject to the risks associated with international trade policies, export controls and economic sanctions, geopolitics and trade protection measures.”

Tariff Policies

There is currently significant uncertainty about the tariff policies in the United States and certain other countries. In February 2025, the president of the United States imposed 20% tariffs (the “**Fentanyl Tariffs**”) on Chinese goods. On April 2, 2025, the president of the United States imposed a 10% across-the-board tariff on all imports from the U.S.’s trading partners, along with additional country-specific tariffs for various countries (the “**Reciprocal Tariffs**”, as adjusted from time to time, and, together with the above-mentioned tariffs, the “**Additional U.S. Tariffs**”). On April 9, 2025, it was announced that the Reciprocal Tariffs would be paused for 90 days for all countries but China. On April 10, 2025, the Reciprocal Tariffs on China were raised to 125%. The United States and China are engaging in trade discussions, and on May 12, 2025, the United States stated that they would lower the Reciprocal Tariffs on China to 10% for 90 days. On August 11, 2025, such tariff suspension was further extended for another 90 days. The fentanyl tariffs still remain in place. Therefore, the total Additional U.S. Tariffs on China would be 30% while the Reciprocal Tariffs are lowered during the 90 days. Following a U.S.-China leaders’ meeting on October 30, 2025, the United States and China announced steps to pause certain tariff escalations. On November 4, 2025, the President of the United States issued executive orders that, among other things, reduce the Fentanyl Tariff from 20% to 10%, effective November 10, 2025, and continue the suspension of heightened China-specific Reciprocal Tariff rates through November 10, 2026, thereby maintaining the 10% Reciprocal Tariff baseline on imports from China during that period.

On May 28, 2025, the U.S. Court of International Trade ruled that the Additional U.S. Tariffs exceeded the president’s legal authority, which was affirmed by the U.S. Court of Appeals for the Federal Circuit on August 29, 2025. On February 20, 2026, the U.S. Supreme Court issued its opinion affirming the lower court’s ruling, striking down the tariffs pursuant to the International Emergency Economic Powers Act (IEEPA). Following this decision, the administration rescinded the IEEPA-based tariffs but concurrently imposed new 10% tariffs for a 150-day period under separate statutory authority. The U.S. tariff policies are rapidly evolving, and the final outcome, including the impact and potential legal challenges regarding the newly implemented tariffs, is highly uncertain.

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We believe that the Additional U.S. Tariffs, including the corresponding tariff policies introduced by other countries, assuming they are enforced as proposed, will not have a material and adverse direct impact on our business and results of operations, on the bases that (i) we make very limited direct exports to the United States, and therefore have insignificant direct exposure to the tariffs imposed by the United States; (ii) our customers, who import the end products incorporating our products in the United States, are responsible for the tariffs; and (iii) we have also proactively taken measures to mitigate our risks in view of the changing industry landscape. In addition, from the first quarter to the second quarter of 2025, our revenue and net profit increased by 9.4% and 32.8%, respectively, showing our resilience and growth despite such tariffs. However, higher tariffs could generally negatively affect economic conditions in China and other countries, which could adversely affect our business.

Based on the current U.S. tariff regime applicable to imports of PCB products, PCB products originating from Thailand, Malaysia and Vietnam are generally subject to broadly similar U.S. import tariff rates, which are at a moderate level for products from these three jurisdictions. Specifically, PCB products imported from Thailand and Malaysia are subject to a 19% tariff, while those imported from Vietnam are subject to a 20% tariff. By comparison, PCB products originating from the PRC are generally subject to higher overall U.S. tariff rates. Specifically, MLPCB products from the PRC are subject to significantly higher effective tariff rates than comparable products from Thailand, Malaysia and Vietnam, while certain double-layer PCBs and four-layer MLPCBs from the PRC may benefit from partial relief under specific exemption arrangements and therefore bear tariffs that are broadly comparable to those applied to PCB imports from those jurisdictions.

As a result, PCB products manufactured in Thailand, Malaysia and Vietnam generally enjoy a relatively more favorable U.S. tariff position than PCB products manufactured in the PRC. This may, over time, influence sourcing decisions and supply chain configurations of certain customers whose end products are exported to the United States, and may encourage them to consider, or increase, procurement from PCB manufacturers with production capabilities outside the PRC.

At the same time, notwithstanding our limited direct exports to the United States as discussed below, a portion of our customers export end products incorporating our products to the United States or other overseas jurisdictions and may therefore be indirectly affected by the evolving global trade environment and trade restrictions. Such measures may increase our customers’ overall export costs, impact their margins or overseas demand and lead them to adjust their production and procurement plans, which in turn could affect their order volumes and product mix purchased from us. Moreover, given that our products are key components used in industries that are susceptible to geopolitical developments and trade restrictions, such as AI and high-performance computing, if tariffs or other import restrictions are imposed on our customers’ finished goods exported to the United States or other overseas markets, the resulting increase in costs may reduce the competitiveness and market demand for these products. A decline in our customers’ sales could, in turn, lead to reduced order volumes, order cancellations or downward revisions to their forecasts for our products. Furthermore, to mitigate their own exposure, our customers may demand price concessions from us or adjust their supply chain arrangements, which could reduce our share of their procurement or result in a loss of business. Any of these developments could materially and adversely affect our customer relationships, revenue and profitability.

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Based on information currently available to us, during the Track Record Period and up to the Latest Practicable Date, we are not aware of any material cancellations of orders or significant reductions in procurement from us that are directly attributable to the additional U.S. tariffs or other recent trade restrictions, nor have we experienced any material adverse impact on our revenue, gross profit margin or overall results of operations that we can directly attribute to such measures. However, if global trade tensions escalate, additional tariffs or non-tariff barriers are imposed or existing measures are tightened or prolonged, our customers’ export activities and competitiveness may be adversely affected, which may in turn negatively impact our sales volume, product mix and margins. We will continue to monitor developments in the global trade environment and our customers’ strategies and will make further disclosure if any such developments are reasonably likely to have a material adverse effect on our business, financial condition or results of operations.

Our Limited Direct Exports to the United States

In 2022, 2023, 2024 and the nine months ended September 30, 2024 and 2025, revenue generated from the U.S. accounted for less than 5% of our revenue in the same periods, respectively. During the same periods, we rarely exported our products directly to the United States. Rather, our products are integrated into various types of end products, which are in turn imported into the United States by relevant customers. Since most of our major customers are located outside of the United States, our products are rarely exported directly to the United States. As such, our direct sales to the United States accounted for an insignificant portion of our revenue during the Track Record Period.

Such an insignificant scale of direct export limits our risk exposure to United States tariffs. United States tariffs, including the Additional U.S. Tariffs, are only payable on the direct export into the United States. In addition, the customers who took delivery of our products in the special supervision territory, which is physically located in China, are typically fully responsible for the subsequent tariffs imposed by the export destination selected by such customers, including the Additional U.S. Tariffs. Given that our revenue contribution from direct sales to the United States is very limited, even if we experience a decrease in our direct sales to the United States as a result of the Additional U.S. Tariffs, it will not result in a material and adverse change in our business and results of operations as a whole.

Our Sales and Procurement in Special Supervision Territory in China

During the Track Record Period, a substantial portion of our exported products were delivered in special supervision territory in China for further processing or assembling by other manufacturers. In particular, in 2022, 2023, 2024 and the nine months ended September 30, 2025, 36.2%, 32.9%, 22.8% and 12.8% of our revenue was recorded from sales to special supervision territory. These include sales to our major customers headquartered in the United States.

Special supervision territories is special customs supervision zones in China that are approved by the State Council of the PRC with specific tax and regulatory policies. Products exported by us through the special supervision territory are primarily delivered to downstream customers. Products entering the special supervision territory from places other than the special supervision territory in China are treated as exports and thus eligible for export tax rebates. As advised by our PRC Legal Advisor, under the PRC regulations, most exported goods are

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exempt from export tariffs, with the applicable export tariff rate being zero. Products exported by us into the special supervision territory qualify for this 0% tariff treatment. Our customs-related obligations, liabilities or responsibilities are fully released and discharged upon completion of delivery within the special supervision territory in China. All subsequent customs-related obligations, including any tariffs imposed by the United States if the customer determines to import their products to the United States, shall become the sole responsibility of the downstream customers. In addition, as advised by our PRC Legal Advisor, under the PRC regulations, materials imported by us through the special supervision territory entering and stored in the special supervision territory from overseas are not treated as import and thus exempt from import tax. The import tax liability shall only attach to and become payable upon such materials’ import from the special supervision territory into other place other than the special supervision territory in China.

Materials imported through the special supervision territory into places other than the special supervision territory in China shall have their import tariff rates determined according to the rules of origin principle, meaning tariff rates are based on the source country or region of such materials. For materials entering the special supervision territory from overseas, which are further processed into finished or semi-finished products within the special supervision territory before entering places other than the special supervision territory in China, the import tariff rates shall be determined based on the final state of the processed products, which may differ from the tariff rates applicable to original materials imported directly into the special supervision territory.

Our Customers Are Responsible for the Tariffs

As explained above, we rarely export our products directly from China to the United States, and our customers, who import the end products into the United States, including through special supervision territory in China, are responsible to pay any tariffs imposed by the United States for importing goods into the United States.

While a tariff on the end product may filter upstream or downstream, none of our current contracts with our customers allow for price adjustment due to tariffs payable by our customers. As of the Latest Practicable Date, we had not experienced any material adverse changes in our sales volume, ASP, customer payment or logistics arrangements, nor have we received any requests to cancel orders or suspend delivery of our products because of the imposition of Additional U.S. Tariffs.

Our Active Measures to Mitigate Risk

The Additional U.S. Tariffs have accelerated both the reorganization of supply chains and the advancement of higher-end product offerings in our industry. Faced with actual and perceived cost pressures, customers increasingly demand premium and customized products to increase unit value of products, which in turn requires PCB manufacturers to accelerate technological breakthroughs and innovation. Therefore, industry-leading PCB manufacturers are uniquely positioned to navigate the evolving trade landscape with greater agility given their technological edge, established presence, substantial track record, proven customer demand, and familiarity with the local markets.

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In view of the changing industry landscape and our assessment detailed above, we are taking active measures to mitigate the risks from the changing tariff and international trade landscape. including: (i) ***Empowering our overseas production capacity***. We have been expanding and strengthening our production capacity globally by establishing new production facilities for HDIs and MLPCBs in Thailand and Vietnam and further automating our production processes in Melaka, Malaysia. See “Our Growth Strategies” for further details. Southeast Asia, including Thailand and Vietnam, offers cost advantages, a maturing industrial ecosystem, and growing investment appeal, making it an ideal region for capacity expansion. As a result, many global players in the PCB industry have been enhancing their production capacity in Southeast Asia, which provides advantages including supply chain resilience. Furthermore, it is reported that both these countries are negotiating a favorable tariff arrangement with the United States. Our track record of serving overseas customers from this region serves as a testament to our ability to meet global customers’ needs. Therefore, we believe that our enhancement of production capacity in these countries can help address the Additional U.S. Tariffs without significantly impacting our overall profitability or business operations; (ii) ***Localizing and diversifying our supply chain***. Our suppliers primarily provide to us raw materials and production equipment. During the Track Record Period, we mainly sourced raw materials from the PRC. In addition, during each period during the Track Record Period, none of our five largest suppliers was headquartered in the U.S., whereas most of them were headquartered in the PRC. We expect increases in localization and diversification to further reduce our risk exposure to tariffs, and we do not foresee any difficulty in procuring key equipment and raw materials outside of the United States at reasonable costs; and (iii) ***Driving customer dependency through value creation***. We seek to deepen customer relationships by delivering differentiated value through technological leadership and global service capabilities. Building on our position as a key supplier to leading technology companies, we are investing in R&D to pioneer advanced PCB technologies, including premium high-layer-count MLPCBs and high-build-up PCBs for AI and high-performance computing applications. We also plan to expand our product portfolio into emerging sectors such as intelligent driving systems, humanoid robots, and low-altitude economy applications. By aligning closely with customers on technology development and product planning, we aim to enhance responsiveness, strengthen long-term partnerships, and secure first-mover advantages in next-generation markets.

U.S. Outbound Investment Security Program

On January 2, 2025, a U.S. outbound investment security program (the “**OISP**”), implemented by the U.S. Treasury under a newly adopted rule (the “**Outbound Investment Rule**”), became effective. The OISP prohibits or requires notification of certain outbound investment transactions by “U.S. persons” involving “covered foreign persons” that are engaged in “covered activities” relating to certain sensitive technologies and products in the (i) semiconductors and microelectronics, (ii) quantum information technologies, and (iii) artificial intelligence (“**AI**”) sectors. For details, please refer to “Regulatory Overview — Relevant Laws and Regulations in the U.S. — U.S. Outbound Investment Security Program.”

We are engaged in the research and development, manufacturing and sales of advanced PCBs for AI and high-performance computing. Although we customize our PCB products to meet the specific needs of downstream customers in AI and other sectors, we are not engaged in the development of any AI systems, and none of our products themselves are integrated circuits or other “semiconductors and microelectronics” that would implicate the relevant

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“covered activity” definitions related to those technologies. Accordingly, after consulting with our legal adviser as to U.S. law, we have concluded that U.S. persons [REDACTED] H Shares in the [REDACTED] will not be engaging in prohibited or notifiable transaction under the OISP.

Our Directors further confirm that the Outbound Investment Rule has not had any material adverse impact on our operations or financial condition, and we do not anticipate any such adverse impacts on the [REDACTED] or the [REDACTED]. However, the OISP is a relatively new regulatory regime, which is subject to changes and interpretations. On December 18, 2025, the U.S. Comprehensive Outbound Investment National Security Act of 2025 (the “**COINS Act**”), which will supersede the OISP, became law. The COINS Act is subject to a rulemaking process, which is required to be completed by March 2027, and there is substantial uncertainty regarding how the new law will be implemented. We will continue evaluating and monitoring developments with respect to these laws and regulations. Investors, including those that are U.S. persons or are subsidiaries of U.S. persons, should consult their own legal counsel regarding the applicability of the Outbound Investment Rule, the COINS Act or similar laws and regulations to this [REDACTED] and any potential obligations and exceptions thereunder. For associated risks, see “Risk Factors — Risks Relating to Doing Business in the Jurisdictions Where We Operate — U.S. outbound investment regulations and other foreign laws and regulations could have a negative impact on our ability access to capital in the future.”